LM01 Ethics and Trust in the Investment Profession

Version: 1.0

1. Introduction

To illustrate the importance of ethical behavior, the curriculum cites the example of an analyst's action at a financial services firm. The research department at the firm is responsible for making investment recommendations to clients after sound analysis and valuation of companies. An analyst in the research department misrepresents facts in his report with the objective of pleasing the management of the subject company. He hopes this would lead to financial benefits for his employer and himself. However, clients who act on the recommendation incur heavy losses and spread a negative word on several online forums about the firm. This eventually affects the reputation of the firm, forcing it to downsize and many employees lose their job. This example illustrates how one member's unethical actions have a spiraling effect on the firm and other employees for no fault of theirs.

The foundation of the investment management industry is trust; and ethical behavior is central to creating that trust. The top two attributes of an investment management firm are:

- Has transparent and open business practices.
- Has ethical business practices.

Ethical behavior is not just about adhering to the law, rules, and regulations. It is about identifying potential conflicts and acting righteously in situations where there are no stated rules.

2. Ethics

The word ethics comes from the Greek word "ethos" meaning character, guiding beliefs, or ideals. There are several definitions of ethics, all of which essentially convey the same meaning.

Ethics can be described as a set of moral principles and rules of conduct that provide guidance for our behavior. Examples of ethical principles include honesty, transparency, diligence, justice, being open about the costs involved in an investment, fairness, and respect for the rights of others.

Another definition of ethical conduct is behavior that balances one's own interest with the direct and indirect consequences of the behavior on others.

Instructor's Note:
The 'others' are often referred to as stakeholders, i.e. groups of people or individuals who are directly or indirectly impacted by a decision. Examples of stakeholders in decisions made by investment industry professionals include colleagues, clients, employers, the communities in which we live and work, the investment profession, trade associations, regulators, and other financial market participants.

Specific communities formally define the rules for acceptable and forbidden behavior into a written set of principles called the **code of conduct**. Professional associations, universities and companies often adopt a code of ethics and expect their members to adhere to those rules, at the very least. The members may choose to display higher standards of behavior than what is stipulated in the code of ethics. The code of ethics publicly communicates the established principles and expected behavior of its members.

Some communities may also expand on their code of ethics and adopt explicit rules or standards that identify specific behaviors required of community members. These **standards of conduct** serve as a benchmark of the minimally acceptable behavior expected from members of a community.

3. Ethics and Professionalism

A profession is an occupational community having specialized knowledge and skills; which adheres to ethical behavior; and is subject to some combination of licensed status and technical standards. Examples of professions include doctors, lawyers, actuaries, accountants, architects, etc.

The number of professions has increased over time due to rising demand from clients and individuals. A profession is different from craft guilds and trade bodies in two ways: unlike trade bodies, members of a profession are required to uphold high ethical standards and their mission is to serve society.

How Professions Establish Trust

The following characteristics help establish confidence and credibility in professionals and their organizations.

a) Professions normalize practitioner behavior by developing professional codes and standards.
b) Professions provide a service to society.
c) Professions are client focused: The major objective of codes and standards is to ensure that professionals always act in the best interest of the client and exercise a reasonable level of care, skill, and diligence with regard to providing them service.
d) Professions have high entry standards.
e) All members of a profession possess a body of expert knowledge.
f) Professions encourage and facilitate continuing education.
g) Professions monitor professional conduct to maintain integrity and reputation of an industry.
h) Professions are collegial and respect the rights, dignity, and autonomy of others.
i) Professions are recognized oversight bodies.
j) Professions encourage the engagement of members to develop expertise and ethics and to advance the profession.

Professions evolve over time as the requirements, technology, and standards change.

Professionalism in Investment Management

Most countries require investment professionals to have some form of certification or licensing to practice. Due to regulatory coordination across borders and the emergence of technology, the investment management profession has become increasingly global.

Trust in Investment Management

Trust is a very important aspect in investment management. When market participants trust investment management professionals, it leads to smooth functioning and efficient capital markets, which in turn helps in the development of the economy.

CFA Institute as an Investment Management Professional Body

CFA Institute is the largest body for investment management professionals. The mission of CFA Institute is "to lead the investment profession globally, by promoting the highest standards of ethics, education, and professional excellence for the ultimate benefit of society." CFA Institute candidates and charterholders are required to meet the highest standards among those established by CFA Institute, regulators, or the employer. The CFA Institute Code and Standards aims at aligning the interests of firms and clients.

CFA charterholders and CFA Program candidates are required to "adhere to the Code and Standards and to annually sign a statement attesting to that continued adherence". Charterholders and candidates must "maintain and improve their professional competence and strive to maintain and improve the competence of other investment professionals".

4. Challenges to Ethical Conduct

Some of the challenges to ethical conduct include the following:

Overestimating one's morality: People often believe they are more ethical than they actually are. This overconfidence can sometimes lead to faulty decision-making. It is often seen that emotions cloud rational thinking, prompting one to make decisions that may not be the most ethical choice.

Situational influences: These are external factors such as cultural, social, and environmental factors that influence one's thinking, behavior, and decision-making. Some of the common situational influences are:

- <u>Money and prestige</u>: Both money and prestige push people to act in their own self-interests and take actions that are less ethical. The promise of a large financial bonus or a promotion, can impact people's thinking ability and cause them to act in their own short-term interests and ignore the long-term consequences of their actions.
- <u>Loyalty to employer, employee, and colleagues</u>: Loyalty can have both positive and negative effects. For instance, some colleagues may encourage you to behave more ethically and enroll in the CFA Program to advance your career. On the other hand, colleagues who do not adhere to the Code and Standards may encourage you to simply act in accordance with the local law, even though it may fall short of ethical conduct.

- Compliance culture: A strong compliance policy is important for ethical decision-making. However, processes focused solely on compliance, oversimplify decision-making and do not help the larger cause. Employees may adopt a "check the box" mentality and think in terms of "What *can* I do?" instead of "What *should* I do?"

5. Ethical vs. Legal Standards

Many times, there is a grey area between what is legally accepted and what is ethical. Acting in accordance with the law and acting ethically are not necessarily the same. There are four possible outcomes for any action from a legal and ethical perspective:

- Not legal and not ethical.
- Legal and ethical.
- Not legal but ethical: For example, civil disobedience or protesting peacefully against an issue may not be legal, but it is ethical. Another example of an illegal but ethical act is that of whistleblowing (Whistleblowing is raising the curtain off an illegal or corrupt activity).
- Legal but not ethical: Some countries do not have laws that prohibit trading while in possession of material nonpublic information. While this act of trading is legal from the local country's perspective, it is considered unethical by the CFA Institute and other investment professionals.

There are several reasons why laws are not sufficient to ensure ethical conduct among market participants:

- Laws and regulations are often created in response to existing market practices. A new law might address an existing ethical problem but create an opportunity for other unethical behavior in future.
- Laws can be interpreted differently. Market participants may choose to interpret the law to their advantage or delay compliance where there is no punitive action.
- Laws can vary across jurisdictions. This may encourage questionable practice to move to places that are less restrictive in nature.

Ethical conduct encourages us to:

- Go beyond what is legally required.
- Consider the impact on all stakeholders.
- Make good choices, even in the absence of clear laws and regulations.

6. Ethical Decision-Making Framework

Firms must strive to develop a strong ethical culture and encourage investment professionals to apply ethical decision-making skills every day; so much so that it becomes second nature. Working and operating in an environment that fosters integrity and accountability motivates its employees to do the right thing will go a long way in preventing unethical actions.

Setting up an ethical framework:

- Helps in evaluating a situation from multiple perspectives after considering the larger picture in such a way that it benefits stakeholders in the long term. Often, the impact of a decision or all aspects of a situation is not clear in the short term and decisions taken in haste may harm stakeholders unintentionally.
- Helps decision makers justify actions to a broader group of stakeholders.

The following ethical decision-making framework is presented in the curriculum.

- **Identification phase**: Identify all the relevant facts and distinguish between facts and personal opinion, judgements, and biases. This includes information one has and what one would like to have.
  - Identify relevant facts such as details of the employer, information on an IPO or a deal, rules and regulations of the industry, etc.
  - Identify the stakeholders such as employer, market participants, clients, supervisor, investors, family, etc.
  - Identify relevant ethical principles for the situation. This may include loyalty to employer, clients' interests taking precedence before everything else, and maintaining the confidentiality of information etc.
  - Identify any potential conflicts of interest, or conflicts in your duties to employers/clients. Examples of potential conflict of interest include duties to one client versus other clients of the firm, financial rewards linked to the success of a deal versus duty to employer, and duty to supervisor versus the need to impress.
- **Consideration phase**: Seek guidance (preferably from someone outside the firm) to navigate through situational influences and personal biases that may affect decision-making.
  - Examples of situational influences include how much fees the firm will earn from a deal, how much bonus or compensation one expects to receive because of working on an IPO/deal, or associating one's self-worth to working on a prestigious account/deal.
  - Examples of where one could seek guidance include the firm's compliance department, peers, the CFA Institute Code and Standards, or a supervisor.
- **Decide and act**: Make a decision and act.
- **Reflect:** Once the decision is made, assess the decision to see if it had the desired outcome. If not, then analyze the reasons: were the stakeholders identified, was there any conflict of interest, were the ethical principles identified, did you seek guidance on how to deal with situational influences and personal behavioral biases?

Sometimes the information gathered is not sufficient to make a decision, in which case the process becomes iterative and you may seek additional guidance on how to gather more relevant information.

Summary

LO: Explain ethics.

The word ethics is derived from the Greek word 'ethos,' which means character. Ethics means making good choices. Ethics includes a set of moral principles and rules of conduct that help us in our behavior.

LO: Describe the role of a code of ethics in defining a profession.

A profession is an occupational community having specialized knowledge and skills; which adheres to ethical behavior; and is subject to some combination of licensed status and technical standards

A profession is different from craft guilds and trade bodies in two ways, i.e. unlike trade bodies, members of professions are required to uphold high ethical standards and their mission is to serve society.

LO: Describe professions and how they establish trust.

LO: Explain professionalism in investment management.

The common characteristics that help establishing the confidence and credibility in professionals and their organizations include the following:

a) Professions normalize practitioner behavior;
b) Professions provide a service to society;
c) Professions have high entry standards;
d) All members of a profession possess a body of expert knowledge;
e) Professions encourage and facilitate continuing education;
f) Professions monitor professional conduct to maintain integrity and reputation of an industry;
g) Professions are collegial and respect the rights, dignity, and autonomy of others;
h) Professions are recognized oversight bodies;
i) Professions encourage the engagement of members;

Professions evolve over time as the requirements, technology, and standards change. Trust is the key in investment management and the trust is established by acting with care, due diligence, and judgment for clients. Investment management profession combined with ethical corporate governance plays a vital role in the growth and development of the capital market.

LO: Describe the need for high ethical standards in investment management.

Investment management profession combined with ethical corporate governance plays a vital role in the growth and development of the capital market. When market participants have trust in the investment management professionals, it leads to efficient capital market and smooth functioning which in turn helps in the development of the economy.

LO: Identify challenges to ethical behavior.

Some of the challenges to ethical conduct include the following:

Overestimating one's morality: People believe they are more ethical than they actually are. This overconfidence in themselves can sometimes lead to faulty decision-making.

Situational influences: These are external factors such as cultural, social, and environmental factors that influence one's thinking, behavior, and decision-making. Some of the common situational influences are:

- Money and prestige:
- Loyalty to employer, employee, and colleagues:
- Compliance culture:

LO: Compare and contrast ethical standards with legal standards.

Legal and ethical conduct is not always the same.

Laws are not always the best mechanism to reduce unethical behavior because:

- Legal standards are often created to address past ethical failings. They do not provide direction for an ever changing and increasingly complex world.
- Laws are often rule-based.
- Laws will vary across countries.

Ethical conduct goes beyond legal standards.

LO: Describe and apply a framework for ethical decision-making.

A framework for ethical decision-making can help people look at and assess a decision from different perspectives. This enables them to make good decisions, and to limit unplanned consequences.

A general ethical decision-making framework has the following four steps.

1. Identify: Relevant facts, stakeholders and duties owed, ethical principles, conflicts of interest.
2. Consider: Situational influences, additional guidance, alternative actions.
3. Decide and act.
4. Reflect: Was the outcome as anticipated? Why or why not?

LM02 Code of Ethics and Standards of Professional Conduct

Version 1.0

Introduction

The Code of Ethics and Standards of Professional Conduct (Code and Standards) stipulate rules and guidelines for CFA Institute members and candidates on how to conduct themselves in a professional and ethical manner, with integrity, under all circumstances for the benefit of society.

CFA Institute Professional Conduct Program

All CFA Institute members and candidates enrolled in the CFA program are required to comply with the Code and Standards. The Professional Conduct Program (PCP), in conjunction with the Disciplinary Review Committee (DRC), is responsible for enforcement of the Code and Standards.

- The DRC is a volunteer committee of CFA charterholders who serve on panels to review conduct and partner with professional conduct staff to establish and review professional conduct policies.
- The CFA Institute Bylaws and Rules of Procedure for Professional Conduct form the basic structure for enforcing the Code and Standards.

Professional Conduct **inquiries** can be prompted by several reasons:

- Self-disclosure: On the annual Professional Conduct Statement, members disclose if they have been a subject of civil litigation or criminal investigation.
- Written complaints: The PCP staff may receive written complaints.
- Evidence of misconduct: The PCP staff may come across violations through media or any public source.
- Report by a CFA exam proctor: If a candidate violated any rules on exam day and is reported by the proctor.
- CFA Institute may conduct analysis of scores and exam materials after the exam, as well as monitor online and social media to detect disclosure of confidential exam information. For instance, if a friend sits for the exam in Australia and discusses specific questions online after the exam while you are in the United States where the exam hasn't started, it can be considered a violation of the Code and Standards.

After an inquiry is initiated, the professional conduct team conducts an **investigation**. If the professional conduct staff believes a violation of the Code and Standards has occurred, they propose sanctions which can include**:** public censure, suspension of membership and use of the CFA designation, and revocation of the CFA charter. Candidates may be suspended or prohibited from further participation in the CFA program.

The member or candidate has the opportunity to accept or reject any charges and the proposed sanctions. If the member/candidate accepts the violation, then the sanctions will be imposed. If the member/candidate does not accept the charges or the proposed sanctions, the matter is referred to the **DRC,** which reviews materials and presentations from professional conduct staff and from the member or candidate. The panel's task is to determine whether a violation of the Code and Standards or testing policies has occurred and, if so, what sanction should be imposed.

Code of Ethics

Members of the CFA Institute (including CFA charterholders) and candidates for the CFA designation ("Members and candidates") must:

1. Act with integrity, competence, diligence, and respect and in an ethical manner with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets.
2. Place the integrity of the investment profession and interests of clients above their own personal interests.
3. Use reasonable care and exercise independent professional judgment when conducting investment analysis, making investment recommendations, taking investment actions, and engaging in other professional activities.
4. Practice and encourage others to practice in a professional and ethical manner that will reflect credit on themselves and the profession.
5. Promote the integrity and viability of the global capital markets for the ultimate benefit of society.
6. Maintain and improve their professional competence and strive to maintain and improve the competence of other investment professionals.

Instructor's Note:
The six components of Code of Ethics, outlined above, are important and should be memorized.

Standards of Professional Conduct

There are seven Standards of Professional Conduct. Each standard has sub-sections. The standards are covered in detail in the next reading.

I. Professionalism
II. Integrity of Capital Markets
III. Duties to Clients
IV. Duties to Employers
V. Investment analysis, Recommendations, and Actions
VI. Conflicts of Interest
VII. Responsibilities as a CFA Institute Member, or CFA Candidate

I. Professionalism

A. <u>Knowledge of the Law</u>
Members and Candidates must understand and comply with all applicable laws, rules, and regulations (including the CFA Institute Code of Ethics and Standards of Professional Conduct) of any government, regulatory organization, licensing agency, or

professional association governing their professional activities. In the event of conflict, Members and Candidates must comply with the stricter law, rule, or regulation. Members and Candidates must not knowingly participate or assist in and must dissociate from any violation of such laws, rules, or regulations.

B. Independence and Objectivity
Members and Candidates must use reasonable care and judgment to achieve and maintain independence and objectivity in their professional activities. Members and Candidates must not offer, solicit, or accept any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity.

C. Misrepresentation
Members and Candidates must not knowingly make any misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.

D. Misconduct
Members and Candidates must not engage in any professional conduct involving dishonesty, fraud, or deceit or commit any act that reflects adversely on their professional reputation, integrity, or competence.

II. Integrity of Capital Markets

A. Material Nonpublic Information
Members and Candidates who possess material nonpublic information that could affect the value of an investment must not act or cause others to act on the information.

B. Market Manipulation
Members and Candidates must not engage in practices that distort prices or artificially inflate trading volume with the intent to mislead market participants.

III. Duties to Clients

A. Loyalty, prudence, and care
Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests.

B. Fair Dealing
Members and Candidates must deal fairly and objectively with all clients when providing investment analysis, making investment recommendations, taking investment action, or engaging in other professional activities.

C. Suitability
1. When Members and Candidates are in an advisory relationship with a client, they must:

a. Make a reasonable inquiry into a client's or prospective client's investment experience, risk and return objectives, and financial constraints prior to making any investment recommendation or taking investment action and must reassess and update this information regularly.
b. Determine that an investment is suitable to the client's financial situation and consistent with the client's written objectives, mandates, and constraints before making an investment recommendation or taking investment action.
c. Judge the suitability of investments in the context of the client's total portfolio.

2. When Members and Candidates are responsible for managing a portfolio to a specific mandate, strategy, or style, they must make only investment recommendations or take only investment actions that are consistent with the stated objectives and constraints of the portfolio.

D. <u>Performance Presentation</u>
When communicating investment performance information, Members and Candidates must make reasonable efforts to ensure that it is fair, accurate, and complete.

E. <u>Preservation of Confidentiality</u>
Members and Candidates must keep information about current, former, and prospective clients confidential unless:

1. The information concerns illegal activities on the part of the client or prospective client,
2. Disclosure is required by law, or
3. The client or prospective client permits disclosure of the information.

IV. Duties to Employers

A. <u>Loyalty</u>
In matters related to their employment, Members and Candidates must act for the benefit of their employer and not deprive their employer of the advantage of their skills and abilities, divulge confidential information, or otherwise cause harm to their employer.

B. <u>Additional Compensation Arrangements</u>
Members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they obtain written consent from all parties involved.

C. <u>Responsibilities of Supervisors</u>
Members and Candidates must make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards.

V. Investment Analysis, Recommendations, and Actions

A. Diligence and Reasonable Basis
Members and Candidates must:

1. Exercise diligence, independence, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions.
2. Have a reasonable and adequate basis, supported by appropriate research and investigation, for any investment analysis, recommendation, or action.

B. Communication with Clients and Prospective Clients
Members and Candidates must:

1. Disclose to clients and prospective clients the basic format and general principles of the investment processes they use to analyze investments, select securities, and construct portfolios and must promptly disclose any changes that might materially affect those processes.
2. Disclose to clients and prospective clients significant limitations and risks associated with the investment process.
3. Use reasonable judgment in identifying which factors are important to their investment analyses, recommendations, or actions and include those factors in communications with clients and prospective clients.
4. Distinguish between fact and opinion in the presentation of investment analysis and recommendations.

C. Record Retention
Members and Candidates must develop and maintain appropriate records to support their investment analyses, recommendations, actions, and other investment-related communications with clients and prospective clients.

VI. Conflicts of Interest

A. Disclosure of Conflicts
Members and Candidates must make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. Members and Candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively.

B. Priority of Transactions
Investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner.

C. Referral Fees
Members and Candidates must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services.

VII. Responsibilities as a CFA Institute Member or CFA Candidate

A. Conduct as participants in CFA Institute Programs
Members and Candidates must not engage in any conduct that compromises the reputation or integrity of CFA Institute or the CFA designation or the integrity, validity, or security of CFA Institute programs.

B. Reference to CFA Institute, the CFA designation, and the CFA program
When referring to CFA Institute, CFA Institute membership, the CFA designation, or candidacy in the CFA Program, Members and Candidates must not misrepresent or exaggerate the meaning or implications of membership in CFA Institute, holding the CFA designation, or candidacy in the CFA Program.

Summary

LO: Describe the structure of the CFA Institute Professional Conduct Program and the process for the enforcement of the Code and Standards.

The Professional Conduct Program (PCP), in conjunction with the Disciplinary Review Committee (DRC), is responsible for enforcement of the Code and Standards. The CFA Institute Bylaws and Rules of Procedure for Professional Conduct form the basic structure for enforcing the Code and Standards. Professional Conduct inquiries can be prompted by: self-disclosure, written complaints and evidence of misconduct, and report by a CFA exam proctor.

If the professional conduct staff believes a violation of the Code and Standards has occurred, sanctions are proposed. If the member/candidate does not accept the charges or the sanctions, the matter is referred to the DRC, which reviews materials and presentations from professional conduct staff and from the member or candidate. The DRC makes a final decision on whether there was a violation and if so, what sanctions must be imposed.

LO: Identify the six components of the Code of Ethics and the seven Standards of Professional Conduct.

Members of the CFA Institute (including CFA charterholders) and candidates for the CFA designation ("Members and candidates") must:

1. Act with integrity, competence, diligence, and respect and in an ethical manner with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets.
2. Place the integrity of the investment profession and interests of clients above their own personal interests.
3. Use reasonable care and exercise independent professional judgment when conducting investment analysis, making investment recommendations, taking investment actions, and engaging in other professional activities.
4. Practice and encourage others to practice in a professional and ethical manner that will reflect credit on themselves and the profession.
5. Promote the integrity and viability of the global capital markets for the ultimate benefit of society.
6. Maintain and improve their professional competence and strive to maintain and improve the competence of other investment professionals.

LO: Explain the ethical responsibilities required by the Code and Standards, including the sub-sections of each Standard.

Covered in the next reading.

LM03 Guidance for Standards I-VII

This document should be read in conjunction with the corresponding learning module in the 2024 Level I CFA® Program curriculum. Some of the graphs, charts, tables, examples, and figures are

Version 1.0

Introduction

This is a long reading, which provides guidance and recommended compliance procedures for each standard. Several examples are also given on how the standards should be applied. IFT Notes focus on the guidance and recommended compliance procedures. Read the examples (applications of the standards) from the curriculum.

Standard I: Professionalism

Standard 1 (A) Knowledge of the Law

> Members and Candidates must understand and comply with all applicable laws, rules, and regulations of any government, regulatory organization, licensing agency, or professional association governing their professional activities. In the event of conflict, Members and Candidates must comply with the more strict law, rule, or regulation. Members and Candidates must not knowingly participate or assist in and must dissociate from any violation of such laws, rules, or regulations.

Interpretation:

You, as a member or candidate, must be aware of all laws where you conduct business. Stating that you are not aware of the laws and hence a violation occurred, will not be acceptable.

Guidance:

- <u>Relationship between the Code and Standards and Applicable Law</u>: Assume you are an investment adviser based in Malaysia. You are a Malaysian citizen and your clients are also based in Malaysia. Here the Malaysian law is the 'applicable law'. As a Level I candidate, the Code and Standards must also be considered. Let's assume that Malaysian laws prohibit participation of investment advisers in IPOs but the Code and Standards allow participation under specified circumstances, then **you have to follow the stricter law** – the Malaysian law in this case. If there is no applicable law or regulation, then Members and Candidates must follow the Code and Standards.
- <u>Investment products and applicable laws</u>: Follow the stricter law.
- <u>Participation in or association with violations by others</u>: You are responsible for violations in which you *knowingly* participate or assist. (*Knowingly* is the key word here.) Assume you are part of a group and you have reasonable grounds to believe a violation is taking place. Under such circumstances:
    - First, make an attempt to stop the behavior by bringing it to the notice of your supervisor/compliance department.
    - Seek the advice of independent legal counsel if the compliance department was not helpful.
    - If this doesn't work, dissociate yourself with that activity. Dissociation varies based on your role in the organization; it could be:

    - Removing your name from the investment reports and recommendations.
    - Asking for a different assignment.
    - Refusing to accept a new client or continuing to advise the current client.
  - In extreme cases, leave the organization.
- Not taking an action after reporting a violation (and continuing association with the illegal activity), can be considered as participating in the illegal or unethical conduct.
- If you are not sure that a violation is taking place, then the appropriate action would be to seek the advice of legal/compliance counsel.
- CFA Institute does not compel you to report violations to the government or regulatory organization unless required by law.

Recommended procedures for compliance:

- <u>Stay informed</u>: Have a procedure or regular training to keep employees informed of the changes in applicable laws, rules, regulations etc.
- <u>Review procedures</u>: Periodically review firm's written compliance procedures to ensure it conforms to the applicable law.
- <u>Maintain current files</u>: Latest copies of applicable rules and regulations should be available for reference.
- <u>Legal counsel</u>: If in doubt how to respond to a possible violation, seek the advice of legal/compliance personnel.
- <u>Dissociation</u>: Document the violation if you are dissociating from an illegal activity; urge the firm to take steps to cease the activity, and resign in extreme cases.
- Advise/encourage your firm to:
  - Develop and/or adopt a code of ethics.
  - Provide information on applicable laws: make all the information regarding laws and rules available in a central location.
  - Establish procedures for reporting violations: make it easy to report violations.

Standard 1 (B) Independence and Objectivity

> Members and Candidates must use reasonable care and judgment to achieve and maintain independence and objectivity in their professional activities. Members and Candidates must not offer, solicit, or accept any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity.

Interpretation:

Maintain independence and objectivity. Do not compromise your independence and objectivity under any circumstance as it can hurt not just your firm, but the whole industry. For instance, assume you are writing a research report and the firm you are covering gives you an expensive gift. Accepting the gift may shroud your judgment to be impartial and give an objective report.

Guidance:

- Buy-side clients: Assume you work in the research department of a large brokerage firm and you cover pharmaceutical firms. Your research reports are disseminated to a large audience including institutional clients (buy-side clients) such as mutual funds. Assume a mutual fund has a large position in Pfizer stock that you are covering. You are about to give a negative view on the stock that buy-side clients will not be happy about as it will affect their portfolio’s performance in the short-term, and attempt to influence you. It is important for analysts not to succumb to pressure and maintain their independence and objectivity.
- Investment banking relationships: Now assume your firm also has an investment banking (IB) division. Pfizer is a client of the firm, and the IB division is working closely on Pfizer’s secondary offering. The IB division may influence research analysts to issue favorable research reports. But, as analysts, you must maintain your objectivity.
- Public companies: Pfizer, being a public company, may also try to influence analysts directly (through gifts) for a positive research report – a buy call. Analysts fear retaliation from the company if a negative view is given.
- Issuer-paid research: Assume a company is not being widely followed. If this company approaches you to write a research report for them, and compensates you, then there is a potential conflict of interest. The best practice for independent analysts is to negotiate a flat fee for the report independent of what the recommendation will be, and be thorough and objective with the report. Disclosure of the type of compensation is also important.
- Travel funding: It is best for candidates to use commercial transportation and pay for it themselves, or their firm’s transport, and avoid paid travel by the client. Where commercial transportation is not available, members and candidates must accept modestly paid-for travel.
- Credit rating agency opinions: Credit rating agencies provide ratings for fixed-income products. If you are working at a rating agency, you may be offered incentives and compensation by the sponsoring company (companies issuing bonds) to issue a favorable rating. However, you should be objective about the analysis and ensure the processes at your agency do not result in a conflict of interest.
- Influence during the manager selection/procurement process: Assume a large pension fund is in the process of selecting an asset management company (AMC) to manage their assets. In order to get this business, AMCs may try to influence the hiring manager at the pension fund by giving gifts, etc. Irrespective of which side you are in the process (pension fund or AMC which is seeking business), do not solicit gifts or contributions either directly or indirectly that may affect your independence.
- Brokerage houses: Members and candidates hire secondary fund managers to manage specific assets, for trading and reporting. There may be attempts to influence them with gifts or compensation. It is important for members to not accept such gifts and stay objective about the hiring decision.

Recommended Procedures for Compliance:

- Protect the integrity of opinions.
- Create a restricted list for companies where a firm wants to disseminate only factual information, and no negative or positive opinion.
- Restrict special cost arrangements: use corporate aircraft only if commercial transportation is not available.
- Limit gifts: a strict limit for token gifts that can be accepted must be established.
- Restrict investments: Enforce prior approval for employees purchasing equity or equity-related IPOs.
- Review procedures.
- Establish an independence policy.
- Appointed officer: appoint a senior officer to ensure compliance with the firm's code of ethics.

Standard 1 (C) Misrepresentation

> Members and Candidates must not knowingly make any misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.

A misrepresentation is any untrue statement, or omission of fact, or any statement that is otherwise false or misleading.

Interpretation:

The foundation of any client-customer relationship is trust. If trust is lost because of misrepresenting facts, it not only hurts you, but also hurts confidence in the entire profession and integrity of capital markets as well.

Guidance:

- Impact on investment practice: Assume your firm has been managing a large cap equity fund for several years and has added a small cap fund last year. If the firm claims it has years of experience managing small cap funds/stocks, then it would be misrepresenting facts.
    - Members and candidates must not misrepresent facts including their qualifications, or credentials. For instance, if you have cleared only two levels of the CFA program, you cannot claim to be a CFA charterholder.
    - When issuing a research report, you may be using third-party information. You must exercise care and diligence when using third-party information such as credit ratings, research, or marketing materials, to ensure there is no misrepresentation.
    - If you are using external managers to manage specific areas, you must not represent their investment practices as your own.

- Performance reporting:
  - If you have chosen a benchmark for your portfolio, are the strategies of both comparable? Are you choosing a benchmark because it makes the portfolio's performance look better?
  - You must ensure the performance evaluation of your portfolio has a reasonable basis – why have you chosen the reference index or benchmark?
  - Provide pricing information of securities to clients on a consistent basis. Do not change pricing providers solely on the basis of higher value of a security. This is especially true of illiquid securities. This will be misrepresenting information as investors make the decision of whether or not to hold an illiquid security based on the information provided.
- Social media: The language used on social media platforms such as Facebook and Twitter is often informal. However, members and candidates must ensure the information provided is the same as in traditional modes of communication. The format must adhere to the Code and Standards, even though there is a great deal of anonymity.
- Omissions: Facts or outcomes must not be omitted, especially when it comes to performance measurement and attribution. For example, assume a manager had exceptional performance in the past three years, but negative returns in the three years preceding it. He must present the performance for the entire period and not omit years of bad performance; that is called cherry picking (or selective presentation).
- Plagiarism: Plagiarism is using the work of others without acknowledging or attributing the source of information. Examples include:
  - Using the research report of another firm, and then redistributing it by changing the names.
  - A research report based on multiple sources of information without naming the sources.
  - Excerpts from articles with little or no change in wording.
  - Not naming specific references, but instead attributing to "leading investment analysts".
  - Using charts and graphs without naming their sources.
- Members and Candidates must disclose the source of information used in their reports. If it is paid for, then it must be disclosed. Sentences reproduced must be within quotes and the author named specifically.
- Work completed for employer: Work (models/reports/research) done within a firm may be used by others in the firm without attribution. If the person who developed a model has left the firm, the firm can continue using it as it is a property of the firm without naming the person. However, no one can claim that the work done by the person who has quit the firm has been done by the one who is now using it.

Recommended Procedures for Compliance:

- Factual presentations: Each member and candidate must be aware of the firm's and the individual's capabilities and limitations. A written list of the firm's available services should guide the employees who present to clients.
- Qualification summary: Each member and candidate should prepare a summary of his/her qualifications and experience to present to clients. These must be periodically reviewed.
- Verify outside information: Ensure material from a third-party is accurate before presenting it to clients.
- Maintain web pages: Any information published on a web page must be current, and accurate.
- Plagiarism policy: Maintain copies of research reports/articles used in making your research report, attribute quotations to their source, and attribute summaries to their sources.

Standard 1 (D) Misconduct

> Members and Candidates must not engage in any professional conduct involving dishonesty, fraud, or deceit or commit any act that reflects adversely on their professional reputation, integrity, or competence.

Guidance:

Any act that involves lying, cheating, stealing, or other dishonest conduct is a violation of this standard if the offense reflects adversely on a member's or candidate's professional activities. Although CFA Institute discourages any sort of unethical behavior by members and candidates, the Code and Standards are primarily aimed at conduct and actions related to a member's or candidate's professional life.

Some important points based on examples seen often:

- Using alcohol during business hours, though not illegal impairs a person's ability to think objectively.
- If a member or candidate declares personal bankruptcy, it is not misconduct. But, if the circumstances that led to bankruptcy include deceit or fraud, then it would be a violation and deemed as misconduct.

Recommended Procedures for Compliance:

- Code of ethics: Adopt a code of ethics that every member must adhere to.
- List of violations: Communicate to all employees a list of potential violations and the associated sanctions.
- Employee references: Do background (reference) checks of employees to ensure they have not had a brush with the law in the past and are eligible to work in the investment profession.

Standard II: Integrity of Capital Markets

Standard II (A) Material Nonpublic Information

> Members and Candidates who possess material nonpublic information that could affect the value of an investment must not act or cause others to act on the information.

Guidance:

- What is material information? Material information is one that, if disclosed, can have an impact on the price of a security, or information that investors would want to know before making an investment decision. For example, information that the CEO of a company was involved in a scandal to manipulate financial statements and is going to be arrested, is material information. Other common examples include mergers and acquisitions, new product licenses, changes in management, bankruptcies, legal disputes, etc.
- What constitutes "nonpublic" information? As the name implies, information that has not been made public is called nonpublic information. For instance, if a pharmaceutical company has just received news that a particular drug has been approved by FDA and it is not made public yet, then it constitutes nonpublic information. This is also material information as it is something investors would like to know before investing in the company.
- Mosaic theory: As per the Mosaic theory, analysts are free to act on public and nonmaterial nonpublic information without risking violation. Let's take an example from the curriculum. An analyst is researching a company in the furniture industry. He analyzes the public disclosures, and speaks with many furniture retailers on which he bases his recommendation report. The information gathered from furniture retailers is an example of nonmaterial nonpublic information because the information is not public, and not material by itself to influence the stock prices in any way.
- Social media: Members and candidates must ensure that information obtained from closed groups on social media (Facebook, LinkedIn) is accessible to the public through other sources.
- Using industry experts: Using experts is appropriate as long as members are not requesting or acting on material nonpublic information.
- Investment research reports: Assume you are a well-known analyst and your recommendation reports might impact stock prices. Since you are not an insider and did not base your report on insider information, Standard II (A) does not apply. In this case, you are not required to make the report public. If the public wants access to the report, they can be asked to pay for your services.

Recommended Procedures for Compliance:

- Achieve public dissemination: Take steps to publicly disseminate material nonpublic information. Ensure no investment action is taken based on the information.

- Adopt compliance procedures: Adopt compliance procedures to prevent the misuse of material nonpublic information. Ex: review employee trading, investment recommendations, and interdepartmental recommendations.
- Adopt disclosure procedures: Same information should be communicated to the market in an equitable manner. The information received by buy-side clients should be the same as sell-side clients, and the same goes for large firms and small firms.
- Issue press releases: Press releases must be made before conference calls and analyst meetings so that new information is disclosed at such gatherings.
- Firewall elements: A firewall is an information barrier created to prevent the flow of material nonpublic information within a firm; for instance, between the brokerage and investment banking departments of a firm. Listed below are a few ways a firewall is implemented:
  - Review of employee trading.
  - Route interdepartmental communications through the compliance or legal department.
  - Document how to enforce procedures to limit information flow within the firm.
  - Review/restrict proprietary trading when a firm is in possession of material nonpublic information.
- Appropriate interdepartmental communications: Document procedures for how interdepartmental communications must occur, review trading activity, and what actions to take if violations occur.
- Physical separation of departments: To prevent sensitive information flowing from one department to another. Ex: IB/corporate finance to be physically separated from sales and research of a brokerage firm.
- Prevention of personnel overlap: An employee should be on only one side of the firewall. For instance, an employee working in the commercial lending department of a bank must not be associated with its trust/research departments.
- A reporting system: Have a reporting system in which authorized people can review and approve communications between departments. If sharing of certain information is necessary across the firewall, then a designated officer must ascertain whether sharing is essential and must monitor the process.
- Personal trading limitations: Enforce restrictions on personal trading by employees. Monitor both proprietary and personal trading.
- Record maintenance: Maintain records of interdepartmental communication.
- Proprietary trading procedures: Outline procedures for under what situations there should be restrictions on proprietary trading:
  - Market making: Restrictions on trading if the firm is a market maker can be counterproductive as it may be a signal to traders that the firm is in possession of some material nonpublic information. The firm must take the contra side of unsolicited customer trades.

  - Arbitrage trading: Must not engage in proprietary trading if it is in possession of sensitive information.
- Communicate to all employees: Educate employees through trainings on how to identify material nonpublic information and how to act (consult a supervisor/compliance officer) if they possess such information. Circulate written compliance policies and procedures to all employees.

Standard II (B) Market Manipulation

> Members and Candidates must not engage in practices that distort prices or artificially inflate trading volume with the intent to mislead market participants.

What it includes:
- Disseminating false information into the market.
- Misleading market participants by distorting prices.

Guidance:
- Information-based manipulation: Spreading false rumors to induce trading by others. For example, an analyst may pump false information into the market through blogs or some other media to artificially inflate stock prices.
- Transaction-based manipulation: Transactions that artificially affect the prices or volume of a security. For example, if transactions show a security to be more liquid, then market participants perceive it favorably and may buy. For example, a large firm may have offices in Tokyo and Chicago. One office may sell a large number of shares and the other office may buy. While it may appear as if the liquidity/trading volume of the security is up. But, in reality, the trading was within the firm.

Standard III: Duties to Clients

Standard III (A) Loyalty, Prudence, and Care

> Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests.

Interpretation:

Client interests come first, followed by the employer and, then personal interests of the member or candidate. The only exception is that the integrity of capital markets must take precedence over the client's interests if there is a conflict. Prudence requires caution and discretion. When handling funds of a client, prudence requires that you treat them with the same skill, care, and diligence as you would treat your own funds.

Guidance:

- Understanding the application of loyalty, prudence, and care: Investment advisers have different job roles; some have fiduciary responsibilities that are imposed by law and require a higher level of trust than other business roles. Irrespective of whether or not they are in a fiduciary role, members and candidates are expected to work in the client's best interest, and be loyal, prudent, and exercise care in managing the client's portfolio.
- Identifying the actual investment client: Identify who is the actual client. It's often easy to define a client but there are instances when it may not be clear. For example, if a pension plan hires an investment manager, then the client is not the pension plan but the beneficiaries of the plan. In this case the hiring entity is not your client. In some cases, there may not be any direct clients or beneficiaries. Ex: a fund manager managing the fund to an index. In such cases, fund managers should invest according to the stated mandate.
- Developing the client's portfolio: Care must be taken in developing portfolios, which are consistent with the clients' objectives, circumstances, constraints, and risks. Investment decisions should be based on the overall portfolio, rather than the characteristics of an individual investment.
- Soft commission (dollar) policies: Assume a client has hired you to manage his funds. You have discretion over the selection of brokers to execute transactions. Conflicts may arise if you use client brokerage (money paid by the client for trade execution) to purchase research services from the broker. This practice is called "soft dollars" or "soft commissions." If you pay a higher brokerage commission than you would normally pay, to allow for the purchase of goods or services, without a corresponding benefit to the client, you have violated the duty of loyalty to your client.
- Proxy voting policies: Assume you are an investment manager and you have purchased 1 million shares of General Electric on behalf of your client. Since you are managing your client's portfolio, you can vote on behalf of the client. You should perform a simple cost-benefit analysis to decide whether or not to vote. When you vote it should be in the best interest of the client (shareholder), not the company management. Your firm's proxy voting policies should be disclosed to clients.

Recommended Procedures for Compliance:

- Regular account information: Submit a quarterly statement to the client that includes credits, debits, securities holdings, and transactions during the period. Indicate whether the client must hold or sell assets. And if sold, where the proceeds should be invested in and when.
- Client approval: If unsure of what course of action to take with respect to a client, members and candidates must discuss with the client in writing and take approval.
- Firm policies: Encourage firms to adopt these policies:
    - Follow all applicable rules and laws.

  - Establish the investment objectives of the client: return requirements, risk profile, experiences, and constraints.
  - Consider all the information when taking actions: the client's needs and circumstances, the client's portfolio, and an investment's individual characteristics.
  - Carry out regular reviews: If a client's circumstances have changed (sudden need for large sums of money, or an unexpected inflow of money), then they must be addressed.
  - Deal fairly with all clients with respect to investment actions.
  - Disclose conflicts of interest.
  - Disclose compensation arrangements: If a manager is compensated based on the returns generated for a client, then it must be disclosed to the client.
  - Maintain confidentiality.

Standard III (B) Fair Dealing

> Members and Candidates must deal fairly and objectively with all clients when providing investment analysis, making investment recommendations, taking investment action, or engaging in other professional activities.

Interpretation:
The standard focuses on dealing ***fairly and objectively*** with all clients. It does not mean equally because the circumstances of every client will be different. Also, a firm may offer different levels of services. A client paying a higher fee for a personalized service cannot be treated in an equitable manner with one who is not. Moreover, it is also not possible to communicate information to all clients at the same time as the modes of communication may vary (e-mail, phone, and fax).

Guidance:

- Investment recommendations: This point is for members and candidates whose primary role is to prepare investment recommendations to be disseminated to the public. Investment recommendation is any opinion to buy, sell, or hold a security/investment. This standard discusses how recommendations must be disseminated to clients:
  - All your clients must have a fair opportunity to act on the investment recommendation.
  - There should **not** be selective disclosure such that your large clients receive a report first and the smaller clients receive it later. There may be practical difficulties in reaching all clients at the exact same time because of time differences and modes of communication, but an effort must be made to communicate in an equitable manner.
  - There may be instances when you may change your recommendation. Let's assume you issued a buy recommendation for a stock erroneously. You changed it later to sell and if there are clients who have acted on the buy order but are not aware of the change to *sell*, you must advise them of the change before accepting the order.

- Investment action: This point is for members and candidates whose primary role is to take actions based on investment recommendations received either from within the firm or external sources.
    - Take care to treat all clients fairly.
    - IPO and secondary offerings: Distribute to all clients for whom the investments are appropriate. Allocation of the stock should be consistent with the policies of the firm.
    - Oversubscribed issues: Distribute on a pro rata and round-lot basis. Refrain from buying for individual and family accounts and free those shares for clients. But, if a family-member is a fee-paying client, then the family member must be treated on an equal basis as any other client.
    - Block trade: All accounts of clients in a block trade must be given the same execution price and charged the same commission fee.
    - Orders must be time stamped.
    - Orders are to be executed on a first-in and first-out basis.
    - Disclose to the client the allocation procedures that the firm follows.
    - Members and candidates must not withhold securities of IPOs, trading at a premium in the secondary market, for their benefit.

Recommended procedures for compliance:

- Develop firm policies.
    - Limit the number of people who know that a recommendation is going to be disseminated.
    - Shorten the time frame between the decision to make an investment recommendation and actual dissemination.
    - Publish guidelines for pre-dissemination behavior: Firms must be encouraged to have guidelines that prohibit personnel, who know about the recommendation, from taking action or discussing it.
    - Simultaneous dissemination: Once dissemination to all clients has happened, members and candidates may follow up with individual clients.
    - Maintain a list of clients and their holdings.
    - Develop and document trade allocation procedures (discussed above).
- Disclose trade allocation procedures.
- Establish systematic account review: Conduct periodic review to ensure no client is receiving preferential treatment and trades are based on the account's objectives. If the manager is selling from one account and buying it for another account, he must document the reasons for both the transactions.
- Disclose the levels of service and the associated fees to all clients.

Standard III (C) Suitability

1. When members and candidates are in an advisory relationship with a client, they must:

a. Make a reasonable inquiry into a client's or prospective client's investment experience, risk and return objectives, and financial constraints prior to making any investment recommendation or taking investment action, and must reassess and update this information regularly.
b. Determine that an investment is suitable to the client's financial situation and consistent with the client's written objectives, mandates, and constraints before making an investment recommendation or taking investment action.
c. Judge the suitability of investments in the context of the client's total portfolio.

2. When members and candidates are responsible for managing a portfolio to a specific mandate, strategy, or style, they must make only investment recommendations or take only investment actions that are consistent with the stated objectives and constraints of the portfolio.

Interpretation:

Determine the suitability of an investment before taking action based on the clients' circumstances and other factors. It is the responsibility of members and candidates who provide investment advice to a client to determine the suitability of an investment. Sell-side analysts and other members who execute instructions are **not** responsible for suitability analysis.

Guidance:

- Developing an investment policy: Gather client information (personal data, objectives, risk, and circumstances) at the start of the relationship. Develop an IPS that outlines return requirements, risk tolerance, and all investment constraints. Also outline the roles and responsibilities of the parties in the advisory relationship, when reviews will happen and evaluation of the IPS will take place. Set the long-term capital market expectations. Develop an appropriate asset allocation strategy for the client.
- Understanding the client's risk profile: Measure a client's risk tolerance to match suitability and appropriateness of an investment. Is the use of derivative appropriate for a client's account? With leverage and limited liquidity, comes risk.
- Updating an investment policy: IPS is to be updated at least annually to reflect changes in market expectations and circumstances of the client. Needs and circumstances of the clients can change at any time and the investment recommendations/decisions must take note of this. Examples of changes in an individual's circumstances: tax status, number of dependents, liquidity needs, loss of job/change in current income, etc.
- The need for diversification: Combining different investments reduces the risk of a portfolio having all assets in a single investment. An investment that is relatively risky on its own may be suitable in the context of the entire portfolio.
- Addressing unsolicited trading requests:
    - Requests from clients for trades that do not align with the risk and return objectives of a client's IPS: Members and candidates must take efforts to balance the client's

request while not deviating from the IPS.
- Unsolicited requests that are not suitable investments: If your clients ask you to make a trade that is not in accordance with the IPS, then refrain from making the trade until you discuss it with the client. Educate the client about the deviation from the current IPS.
- If the client insists on making the trade and if you think it will have a material impact on the portfolio, update the IPS. If the client refuses to have the IPS modified, then determine the future of the advisory relationship.

- <u>Managing to an index or mandate</u>: Invest according to the mandate. For example, assume you are a portfolio manager for a small cap fund and your mandate is to include stocks below a certain market capitalization. You would be deviating from the mandate if you buy large cap stocks even if you expect large caps to perform exceptionally well.

Recommended Procedures for Compliance:

- <u>Investment policy statement</u>: Both individual and institutional investors must have an IPS. The IPS should outline the following: client identification, investor objectives, investor constraints, and performance measurement benchmarks.
- <u>Regular updates</u>: IPS is to be updated on a regular basis (at least annually) to reflect changing circumstances and capital market expectations.
- <u>Suitability test policies</u>: Firms must be encouraged to have test procedures to determine the suitability of investments for different types of clients.

Standard III (D) Performance Presentation

> When communicating investment performance information, members and candidates must make reasonable efforts to ensure that it is fair, accurate, and complete.

Guidance:

- Provide credible performance information to clients and prospective clients. Should not state that past performance can be obtained again.
- Avoid misstating performance or misleading clients.
- If the presentation is brief, make detailed supporting information available to clients and prospects on request.

Recommended Procedures for Compliance:

Applying the GIPS standards is recommended, but not required. Firms that claim compliance without applying GIPS standards must do the following:

- Consider the knowledge and sophistication of the audience.
- Present the performance of the weighted composite of similar portfolios rather than using a single representative account. Assume there are three portfolios with similar mandates worth 2 million, 10 million, and 8 million. If they generated returns of 9%, 2%, and 2%, respectively, then take a weighted average of returns.
- Include terminated accounts as part of performance history. Also state when those

accounts were terminated.
- Include disclosures that fully explain the performance results being reported.
- Maintain the data and records used to calculate the performance being presented.

Standard III (E) Preservation of Confidentiality

> Members and Candidates must keep information about current, former, and prospective clients confidential unless:
>
> 1. The information concerns illegal activities on the part of the client.
> 2. Disclosure is required by the law.
> 3. The client or prospective client permits disclosure of the information.

Guidance:
- Status of client: Even if an entity is no longer a client, members and candidates must maintain the confidentiality of client records.
- Compliance with laws: Comply with applicable law. If a client is involved in illegal activities and the applicable law requires members and candidates to maintain confidentiality, then the information must not be disclosed.
- Electronic information and security: Members and candidates need to be aware of possible accidental disclosures. They should take care when communicating sensitive client information. For instance, assume two clients an investment manager is dealing with, have similar names. When sending an e-mail with updated IPS, the investment manager types in the name of the intended recipient and doesn't realize that it goes to the other client instead of the intended recipient. Such mistakes can have dire consequences.
- Professional conduct investigations by CFA Institute: If permissible under law, members and candidates must cooperate with PCP and provide information about a client in support of an investigation. Any information given to PCP stays confidential.

Recommended Procedures for Compliance:
- The simplest, most conservative, and most effective way to comply with Standard III (E) is to avoid disclosing any information received from a client, except to authorized fellow employees who are also working for the client.
- Communicating with clients: Follow firm-supported communication methods and compliance procedures when communicating confidential information.

Standard IV: Duties to Employers

Standard IV (A) Loyalty

> In matters related to their employment, Members and Candidates must act for the benefit of their employer and not deprive their employer of the advantage of their

skills and abilities, divulge confidential information, or otherwise cause harm to their employer.

The order of this standard reveals the order of significance: if you recall, first was the integrity of capital markets followed by duties to clients, and now duties to employers.

Interpretation:

- Assume you work for an investment management firm and have committed to work 45 hours a week. During this time, you'll not indulge in any activity that will deprive your employer of your skills and abilities.
- Now, assume you are about to place a large buy order for a stock for a client. You are tempted to place an order for your own account before buying for the client. This is called front running and it must be avoided, as you must place your client and employer's interests before your own interests.
- Everything else takes precedence before duty to your own self. Of course, it's not a blanket statement that requires members and candidates to always put work ahead of personal commitments and important family obligations. The standard recommends members to enter into a dialogue with employers to strike a balance between work and personal life.

Guidance:

- The employer must not have rules/written policies that conflict with responsibilities of members and candidates. If there are any, then you must encourage your employer to change those policies.
- <u>Independent practice</u>: Independent practice is engaging in a business activity where you get paid, and the work is not related to the employer. Assume you are thinking of starting an independent practice to work over the weekends or after-work hours. There are certain rules that govern this:
  - You must not start a practice that conflicts with the interests of your employer.
  - Obtain consent from your employer before starting the practice. Disclose the types of services you will render, the expected duration of the services, and the compensation.
- <u>Leaving an employer</u>: Assume you have submitted your resignation and decided to leave your employer. There is a one-month notice period. During this period:
  - You must continue to act in the best interests of your current employer.
  - You must not reveal trade secrets to your new employer.
  - You must not misuse client lists.
  - You must not solicit existing clients to shift their business to the new employer.
  - Once you have left your current employer and are being paid by the new employer, you may seek business from old clients if you have not signed a non-compete agreement with the previous employer.

- Guidelines for what is acceptable after starting work at a new firm:
  - It is okay to use skills and experience gained at the previous employer as they are not considered confidential. Ex: financial modeling skills acquired at the previous employer. Knowledge of the names of former clients is not considered confidential.
  - One must not use anything (records/work) stored in paper or electronic format from the previous firm. Ex: Excel model for the pharmaceutical industry developed at the previous employer.
- Use of social media:
  - Follow firm policies with respect to social media for interacting with clients and prospective clients. Ex: when employees are leaving an organization, it may not be appropriate to announce it on social media as firms may have rules on how and when to announce this to clients.
  - The recommended practice is to have separate accounts for personal and professional social media activities.
  - If there are no firm rules, it's best to act in the spirit of the Standard and not engage in any activity that would harm the employer.
- Whistle-blowing: Bringing insider knowledge of illegal/unethical activities in an organization to the attention of law enforcement activities is called whistle-blowing. Whistle-blowing is acceptable if the intent is to protect the integrity of capital markets and the client's interest. However, whistle-blowing is not acceptable if the intent is for personal gain.
- Nature of employment: Understand the nature of employment (are you a full-time employee or a contractor?). You need to be aware of the terms of the relationship: number of hours, compensation, benefits, work location, client expectations, etc.

Recommended procedures for compliance:

- Competition policy: Relates to the independent practice, we saw in the guidelines section. You must understand the rules/procedures of your firm with respect to pursuing an independent practice.
- Termination policy: Understand the termination policies of your employer. resignation process, how to disclose to clients/staff, are social media disclosures permitted /prohibited, how to transition ongoing research and account related responsibilities etc.
- Incident-reporting procedures: Be aware of incident-reporting procedures at your firm. If there is none, encourage your firm to adopt one.
- Employee classification: Understand your status within the firm: part-time, full-time, or contractor. Be aware of the policies that apply to your class.

Standard IV (B) Additional Compensation Arrangements

> Members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest, unless they obtain written consent from all

parties involved.

Interpretation:

- Assume you are a portfolio manager working for an investment management firm. Assume a client has benefited immensely from your work, and would like to gift an expensive cruise trip for you and your family as a token of appreciation. This is an example of additional compensation.
- Assume you use a brokerage firm to execute orders for your clients. If the brokerage wants to send a gift so that you continue to direct business to them in the future, it is an example of additional compensation.

Guidance:

- Obtain permission before accepting compensation that might create a conflict. You must first disclose to your employer and obtain written consent for any compensation that may create a conflict.
- "Written consent" includes any form of communication that can be documented.
- Not all gifts need to be reported. For example, if a brokerage firm sends you a desktop calendar, or if a client sends you a pen as a token gift (not of significant value), then it need not be reported.
- Discuss possible limitations to their abilities to provide services that may be competing with your employer's during the negotiation and hiring process.

Recommended procedures for compliance:

- Make an immediate written report to your supervisor and compliance officer specifying any compensation you propose to receive.
- The details of the report should be confirmed by the party offering the additional compensation, including performance incentives offered by clients. In our earlier example, where the client offered an expensive vacation, when you disclose the same to your employer, it must be validated by the client. This written report should state the terms of any agreement.

Standard IV (C) Responsibilities of Supervisors

> Members and Candidates must make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards.

Interpretation:

- This standard applies to anyone who has supervisory responsibilities, irrespective of whether or not the employees under their supervision are CFA Institute members, CFA charterholders, or candidates.
- If the number of employees under supervision is large, then supervisors may delegate responsibilities to subordinates, but that does not absolve them of responsibility in case a

violation happens. Supervisors must ensure their subordinates are aware of the rules, applicable laws, firm policies, Code and Standards, etc.
- They must have regular training programs on compliance policies for employees under their supervision.
- If the compliance procedures at a firm are inadequate, they must bring it to the attention of the firm's senior managers.
- If the compliance procedures are inadequate or non-existent, then members and candidates should decline supervisory responsibility.

Guidance:
- System for supervision
  - Understand the compliance procedures of the firm.
  - Ensure adequate compliance procedures are in place that cover all possible violations. It is not possible to cover every potential violation that may occur.
  - Once a violation is detected, a supervisor must immediately report the misconduct and initiate an assessment to determine the extent of wrongdoing. It is not sufficient to warn the employee or rely on his/her statements that it will not recur.
  - He must also ensure that the act is not repeated until the investigation is complete.
- Supervision includes detection
  - Supervisors are responsible for detecting violations.
  - Supervisors are responsible for ensuring compliance procedures are implemented and that they are followed through periodic review.
  - Assume you as a supervisor have taken adequate steps to ensure compliance procedures are in place. Despite this, a violation occurs. Since adequate steps were taken, you as a member may not be in violation of the standard under these circumstances. However, it is an indication that the existing compliance procedures are not sufficient.

Recommended Procedures for Compliance:
- Encourage firms to adopt a code of ethics for strong ethical foundation.
- Have adequate compliance procedures to ensure the policies in the Code and Standards, and securities laws are implemented at the firm, and adhered to, on a daily basis.
- Distinguish between the code of ethics and compliance procedures. Keeping them separate helps serve their individual purpose.
  - Compliance procedures must be written in plain language, free of terminology, such that any average person can understand and assimilate them easily.
  - Assign a compliance officer who has the authority to implement the firm's compliance procedures.
  - Establish the hierarchy of supervision and assign duties among supervisors.
  - Once the compliance system is in place, supervisors must periodically monitor to detect violations and, if discovered, must take the necessary actions.
- Implementation of compliance education and training.

- Establish an appropriate incentive structure.
  - Supervisors and firms must analyze the compensation structure to see if it encourages profits at the expense of ethical behavior.
  - Is "*how*" profits are generated given less importance than "*how much*" profits are made for the firm?

Standard V: Investment Analysis, Recommendations, and Actions

Standard V (A) Diligence and Reasonable Basis

> Members and Candidates must:
>
> 1. Exercise diligence, independence, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions.
> 2. Have a reasonable and adequate basis, supported by appropriate research and investigation, for any investment analysis, recommendation, or action.

Interpretation:

The level of diligence and thoroughness of research depends on the investment philosophy the member/firm is following and the role of the member in the investment decision-making process.

Guidance:

- Define diligence and reasonable basis.
- When using secondary or third-party research (research conducted by someone outside the member's firm) make reasonable efforts to ensure third-party research is sound.
- Ensure the firm has a policy about periodic review of approved third-party research providers. If not, you must encourage the firm to adopt a formal review practice.
- You may rely on the judgment of others (senior managers) in your firm if you believe the due diligence done by them was adequate.
- When using quantitatively oriented research, ensure the soundness of models. You are not expected to become an expert in every technical aspect of the models, but you must understand the data, parameters, assumptions, and limitations of these models. Test the output of these models under various scenarios before distributing the product. Ensure that the model includes a broad range of scenarios – even high-risk and potentially negative outcomes that are not commonly encountered.
- <u>Developing quantitatively oriented techniques</u>: If you are involved in developing new models/algorithms, then you must exercise higher diligence in reviewing new products than individuals who would use these models. Include data for both positive and negative economic cycles. Test models using adverse volatility and performance expectations. Test the model for a wide range of input expectations.
- <u>Selecting external advisers and sub-advisers</u>: If you are using external advisers to manage a specific mandate, then you must diligently review them just as you would an

individual fund/security. Review if the published return information is accurate. Understand the adviser's compliance procedures, investment process, and if he/she adheres to the stated strategy.

- Group research and decision making: Often, members and candidates are part of a group that collectively produces an investment analysis or research. The group arrives at a consensus and gives a recommendation. The names of the members are included in the report. If you do not agree to the final recommendation, but believe that consensus opinion has a reasonable and adequate basis, and is independent and objective, then you need not dissociate yourself or ask that your name be removed from the report.

Recommended Procedures for Compliance:

- Establish a policy that research reports must have a reasonable and adequate basis. Either an individual or a review committee consisting of a group of employees must be appointed to review the report before it is circulated to the outside world.
- Develop written guidance for analysts, supervisory analysts, and review committee that outline due diligence procedures if a recommendation has a reasonable and adequate basis.
- Develop criteria for assessing the quality of research.
- Develop written guidance for testing of all computer-based models.
- Develop measurable criteria for assessing outside providers. This relates to the guidelines for using external/third party research (we saw this in the previous section).

Standard V (B) Communication with Clients and Prospective Clients

Members and Candidates must:

1. Disclose to clients and prospective clients the basic format and general principles of the investment processes they use to analyze investments, select securities, and construct portfolios, and must promptly disclose any changes that might materially affect those processes.
2. Disclose to clients and prospective clients significant limitations and risks associated with the investment process.
3. Use reasonable judgment in identifying which factors are important to their investment analyses, recommendations, or actions, and include those factors in communication with clients and prospective clients.
4. Distinguish between fact and opinion in the presentation of investment analyses and recommendations.

Interpretation:

This standard emphasizes the need for communicating clearly and frequently with clients. It is important to communicate to clients what factors were considered while making the recommendation. If there is a change in the risk characteristics of a security or asset, then this must also be communicated.

Guidance:

- Informing clients of the investment process: Describe your/firm's investment decision-making process to the client. This must include the pros and cons, risks and limitations of the process.
  - Just communicating the final recommendation (for instance, buy/sell a security) to the client is not sufficient. You must explain in simple language the investment process.
  - If there is any change in the process, inform the client.
  - Communicate to the client if any external advisers are being used for their expertise to manage a specific strategy.
- Different forms of communication: Communication is not restricted to traditional written report. It could be in-person meetings, e-mail, telephone conversation, etc.
  - Care should be taken when communicating through social media.
  - If the recommendation is concise (stock-list), then you must notify clients that additional information will soon be made available.
- Identifying risk and limitations: Disclose to clients the risks and limitations of the investment process/product. For example, if a product has been in existence for two years, then the research is based on only on two years' worth of data and that needs to be communicated.
- Report presentation: In the report include those elements that were important for analysis and conclusion.
- Distinction between facts and opinions in reports: Assume you are recommending a sugar stock because you believe that the government will raise the export quota limit. But, this has not been done yet; so, it is just your opinion. It is important to distinguish between facts and opinion by stating this is an opinion. But, for instance, if you were presenting the performance of the past three quarters, then this would be a fact.

Recommended Procedures for Compliance:

The information included/excluded in research reports varies given the diverse nature of clients and investment assets. There is no specific checklist for what must be included. But firms must have a rigorous methodology to review research meant for dissemination to clients.

Standard V (C) Record Retention

> Members and Candidates must develop and maintain appropriate records to support their investment analyses, recommendations, actions, and other investment-related communications with clients and prospective clients.

Interpretation:

Members and candidates must retain records that support their research, analysis, and conclusion. What records to maintain depends on the member involved in the decision-making process. Records can be maintained either in hard copy or electronic format.

Guidance:

- New media records: It is the member's/candidate's responsibility to maintain a record of information posted/discussed in social media even if the firm does not have a record retention policy yet. Examples include twitter/blog posts, Facebook updates, etc.
- Records created as part of any professional activity are the property of the firm; if a member decides to leave the firm, he/she cannot take the records or supporting documents without the consent of the previous employer.
- Members cannot reuse historical research reports if the supporting documentation is not available.
- Every country/jurisdiction where you operate may have certain rules for how much data to retain. For instance, a country's regulator may call for retaining data for the past five years. Similarly, firms may also have policies for retaining research/communication records. CFA Institute recommends retaining records for at least **seven** years.

Recommended Procedures for Compliance:

- The responsibility to maintain records that support investment action generally falls with the firm rather than individuals.
- You should archive research notes and other documents that support investment-related communications.
- If the firm has policies and procedures to facilitate record retention, then you must follow them. If not, you must encourage your firm to adopt policies for preserving records.

Standard VI: Conflicts of Interest

Standard VI (A) Disclosure of Conflicts

> Members and Candidates must make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, or employer. Members and Candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively.

Interpretation:

Conflicts occur often in the investment profession. They occur between the interests of clients, interests of employers, or your own personal interests. Disclose the conflict of interest in plain language to employer, clients, or prospective clients.

Guidance:

- Disclosure of conflicts to employers. Some examples:
    - Assume you are working in an investment management firm. You manage a client's portfolio that has performed extremely well. The client is happy and wishes to

compensate you for this performance. This is a conflict of interest with other clients and you must disclose this to your employer.
    - Assume you volunteer at a charity organization that is in no way related to your work, and you are not paid for it. However, you are passionate about the work you do at this charity which keeps you busy on weekends and mentally occupied during the week, and is depriving your employer of your skills. You must disclose this potential conflict of interest to your employer.
    - Assume you hold stocks in your personal account for which your firm has a *buy* recommendation and is suitable for many clients. This may create a conflict of interest.
- Firms create policies to prevent actions that may appear as a conflict of interest. Policies include restrictions on personal trading, outside board membership, etc.
- <u>Disclosure to clients</u>: There are numerous instances where a conflict of interest exists; these should be disclosed to clients so that they understand the cost of their investments and the benefits received by the firm. A few instances are highlighted below:
    - Assume you hold stocks of General Electric (GE). You are asking your client to buy shares of GE; it may create a potential conflict of interest as, if your client buys and the stock price increases, you will benefit from the movement.
    - You receive compensation (1% commission) from your employer when you recommend certain mutual funds. You must disclose this to the client as the client may believe this recommendation is keeping the client's best interests in mind. Following the disclosure, the client may decide whether the mutual fund is suitable or not.
    - Assume you issue a buy recommendation on General Electric and recommend your client to buy the stock. If your firm also has an investment banking relationship, for instance, then it must be disclosed to the client. The client can then decide if it is in his best interest, or the interest of the firm and GE.
- <u>Cross-departmental conflicts</u>: Assume you are a research analyst (sell-side analyst) working at a brokerage firm. Your firm has an investment banking department, and may pressurize you to write favorable reports for companies with whom they have an existing relationship or are trying to forge one. Ideally, existing companies should be on a restricted list. But, if that is not possible, then you must make a disclosure of the investment banking relationship in the recommendation report. Another example where such conflicts may arise is buy-side analyst/ banks with underwriting powers.
- <u>Conflicts with stock ownership</u>: Members and candidates must disclose any material ownership in a stock/investment that they are recommending to clients.
- <u>Conflicts as a director</u>: There are three possible conflicts of interest if you are an investment professional and serving as a director of a company:
    - Duties owed to clients and duties owed to shareholders of the company.
    - As a director, you may receive securities/options to purchase securities of the company as compensation. A conflict may arise if trading in these securities

increases the value of the security.
  - As a director, you may be privy to material nonpublic information about the company. There may be a perception that the director communicates this information to his firm and investment recommendations are based on that information.

Recommended procedures for compliance:

- Disclose special compensation arrangements with the employer that might conflict with client interests, such as bonuses based on short-term performance criteria, commissions, incentive fees, performance fees, and referral fees.
- If the firm does not permit such disclosure, you should document the request and consider dissociating from the activity. For example, if you receive a 1% bonus from your firm for selling certain mutual funds and your firm does not permit disclosing this compensation, then you should consider dissociating from the activity.

Standard VI (B) Priority of Transactions

> Investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner.

Interpretation:

If you are trading for your own account, then you are the beneficial owner. But, assume the transaction happens in your children's or spouse's account. Even though those accounts are not in your name, you benefit from them and you are the beneficial owner. The account here applies to any account with whom you have a direct relationship.

Guidance:

- Avoiding potential conflicts: Conflicts between client's interest and investment professional's interest may occur. There is nothing unethical about managers, advisers, or mutual fund employees making money from personal investments as long as they follow these three rules:
  - The client is not disadvantaged by the trade. For example, if you are executing a sell trade, then it should not affect your clients in any way.
  - The investment professional does not benefit personally from trades undertaken for clients.
  - The investment professional complies with applicable regulatory requirements.
- Personal trading secondary to trading for clients: The order of executing trades is: clients, employers, and then your personal account, or one in which you are the beneficial owner. The rationale is to prevent personal transactions from adversely affecting the interests of clients or employers.
- Impact on all accounts with beneficial ownership: Members and Candidates may undertake transactions in accounts for which they are a beneficial owner, only after their clients and employers have had an adequate opportunity to act on a recommendation.

For example, assume you are working as an investment manager and your group made a *buy* recommendation on a stock. The client must get the first opportunity to act on the recommendation, then the employer, and then you.
- How should family accounts be treated? : Assume a close family member is a client. He/she should receive the same level of service as any other client. If you have a beneficial relationship in the fee-paying account, then you may be subject to preclearance or reporting requirements of the employer.

Recommended Procedures for Compliance:
- Limited participation in equity IPOs: Some IPO (initial public offerings) issues are highly sought after and the share price rises in value significantly after the issue is brought to the market. Usually, it is a hot IPO if the supply is limited and the demand is high. Purchase of the IPO by investment professionals creates a conflict of interest in two ways:
  - It may appear as if investment personnel are taking the opportunity away from clients for personal gain. For example, assume both you and your client are allotted 200 shares in an IPO. The client had applied for 400 but only got 200. Allotment to your account will make it seem as if some opportunity was taken away from the client for your gain.
  - The party that is giving the investment professional this opportunity to participate in the IPO is possibly trying to influence him/her in the future investment decisions.
- It is recommended that members and candidates should pre-clear participation in IPOs even where there is no appearance of conflict of interest, and stay away from equity IPOs. From a firm's perspective, it may not be right to follow a blanket policy that bans employees from IPOs. Instead, it would be appropriate to have reliable and systematic procedures in place to identify any conflict of interest, and dealt with by supervisors.
- Restrictions on private placements: Private placements are transactions where you get shares of a company through a private offering, and not through a public offering. The conflict of interest here is similar to that of IPOs as it may seem that this participation in private placement is a favor for future business deals. Assume you have participated in a private placement. When the investment goes public, it may seem as if you have a vested interest if you recommend the investment to clients regardless of its suitability.
- Establish blackout/restricted periods: To prevent front running (the practice of trading for one's personal account before client accounts), firms have blackout periods during which investment personnel cannot trade for their personal accounts. This is to safeguard the interests of the clients. The policy on blackout and restricted periods varies from firm to firm depending on their size. It can range from a total ban on trading to preventing the investment manager from front running.
- Supervisors must establish reporting procedures for investment personnel. For example:
  - Disclosure of holdings in which the employee has a beneficial interest: This should be done at the beginning of employment and at least annually thereafter.

- Providing duplicate confirmations of transactions: Investment personnel must direct their brokers to provide duplicate copies of all the securities transactions done with them. It serves two purposes: a) discourages unethical behavior because there is an independent verification b) a clear transaction history and flow of money is available, and not just the holdings.
- Preclearance procedures: Obtaining clearance for planned trades helps reduce conflict of interest.

- Members and candidates must disclose to investors their firm's policies about personal investing/trading. It should be in simple language that investors can understand.

Standard VI (C) Referral Fees

Members and Candidates must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services.

Interpretation:

- Assume you provide equity investment advisory service to a client. The client is now interested in making fixed income investments as well. So, you refer someone providing this service to the client. You receive a fee for this from the person/firm giving fixed income advice. As per this standard, you must disclose the fee you get for the referral.
- Another example is where you recommend your client to purchase a mutual fund, and the fund pays you a commission. You must disclose this arrangement to the client so that he/she can understand the full cost of the investment and the benefit you are receiving.
- Say you receive a reference from someone/firm, and you pay a referral fee to the party introducing the client. You must disclose to the client the fee paid for this referral.

Guidance:

- Advise the client or prospective client about any referral fees before entering into any formal agreement.
- Disclose the nature of the consideration or benefit. For example, flat fee or percentage basis, one-time fee, or continuing benefit based on performance must be disclosed.

Recommended Procedures for Compliance:

- Encourage your employer to develop procedures related to referral fees. The firm may completely restrict such fees.
- Provide clients notification of approved referral fee programs and provide the employer regular (at least quarterly) updates on the amount and nature of compensation received.

Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate

Standard VII (A) Conduct as Participants in CFA Institute Programs

> Members and Candidates must not engage in any conduct that compromises the reputation or integrity of CFA Institute or the CFA designation or the integrity, validity, or security of CFA Institute programs.

Interpretation:

- This standard covers the conduct of CFA Institute and Members involved with the CFA Program.
- CFA Institute programs include the CFA program, certificate in investment performance measurement (CIPM), and the Claritas® Investment Certificate.
- The standard covers many aspects such as cheating on any CFA Institute examinations, violating the testing policies, disclosing confidential exam information to the public, and improperly using any association with the CFA Institute to further personal or professional goals.

Guidance:

- Confidential program information: Candidates are prohibited from disclosing confidential material related to the CFA exams . Examples of information that cannot be disclosed include:
    - Specific details of questions appearing in the exam.
    - Discussing what areas or formulas were tested on the exam.

  However, candidates may discuss non-confidential information and curriculum material with others while preparing for the exam.
- Additional CFA program restrictions:
    - There are additional policies that define allowed and disallowed actions during the exam. Testing policies include calculator policy (only two calculators are allowed) and the personal belongings policy.
    - Members may participate as volunteers in various aspects of the CFA program such as grading, administering, or developing the exam. But they are not allowed to:
        - Disclose any material appearing on the exam.
        - How questions are scored.
        - Any information on the exam process.
- Expressing an opinion: Members are free to express their opinion or discontent with CFA Institute regarding its policies and procedures. For example, if you say the exam was not a good representation of the curriculum, then it is not a violation of the standard. However, if you discuss specific topics or questions, then it is a violation.

Standard VII (B) Reference to CFA Institute, CFA Designation, and CFA Program

When referring to CFA Institute, CFA Institute membership, the CFA designation, or candidacy in the CFA program, Members and Candidates must not misrepresent or exaggerate the meaning of or implications of membership in CFA Institute, holding the CFA designation, or candidacy in the CFA program.

Interpretation:

- It is not intended to prohibit factual statements related to the benefits of earning the CFA designation.
- However, the merits of CFA Institute, the CFA Program, and the Code and Standards must be expressed as the opinion of the speaker.
- This standard applies to all forms of communication.
- It is not allowed to state that someone with a CFA designation will exhibit superior performance.

Guidance:

- <u>CFA Institute membership</u>: CFA Institute member refers to regular/affiliate members of the CFA Institute who have fulfilled the following membership requirements:
    - Remit annually to CFA Institute a completed Professional Conduct Statement.
    - Annually pay CFA Institute membership dues.
- <u>Using the CFA designation</u>: Once you have earned the right to use the CFA designation, you must follow the rules associated with the usage of the designation. CFA charterholders are individuals who have earned this right by completing the CFA program and have the required years of work experience. They must also satisfy the membership requirements in order to use the designation.
- <u>Referring to candidacy in the CFA program</u>: Candidates may refer to their participation in the CFA program. A person is a candidate if the person appears for a specified examination after completing the registration process or the person has appeared for a specified examination, but the results are yet to be announced.
- Members and candidates must encourage their firms to create templates consistent with standard VII(B).

Instructor's Note: This is the most important reading in Ethics and will represent a major percentage of the Ethics questions on the Exam. To do well on this topic you should carefully study all the examples (Applications of the Standard) in the curriculum and also do as many practice questions as possible.

Summary

LO: Demonstrate the application of the Code of Ethics and Standards of Professional Conduct to situations involving issues of professional integrity.

Read the "Application of the Standard" segment for each standard in the curriculum.

LO: Identify conduct that conforms to the Code and Standards and conduct that violates the Code and Standards.

LO: Recommend practices and procedures designed to prevent violations of the Code of Ethics and Standards of Professional Conduct.

1.A. Knowledge of the law	Understand applicable law and rules. Comply with the more strict law. Do not knowingly participate /disassociate from such activity.
1.B. Independence and objectivity	Use reasonable care and judgment. Maintain independence and objectivity. Do not offer/solicit gifts.
1.C. Misrepresentation	Do not misrepresent facts/performance reports. Avoid plagiarism. Do not omit facts.
1.D. Misconduct	Aimed at professional life; acts like lying, cheating, and stealing affect professional reputation/integrity.
2.A. Material Nonpublic Information	Do not act or cause others to act on material nonpublic information. Achieve public dissemination. Not a violation: Mosaic Theory = material public information + nonmaterial nonpublic information.
2.B. Market Manipulation	Information-based manipulation: Blogs, other media to inflate stock prices. Transaction-based manipulation: Make a security to appear more liquid.
3.A. Loyalty, Prudence and Care	Use reasonable care and exercise prudent judgment. Place client's interests before your employer or your interests. Soft dollars should benefit the client. Strive for best execution.
3.B. Fair Dealing	Deal fairly and objectively with all clients. Note: it does not state *equally* because of different levels of service. Fee-paying family member should be treated no different than any other client. Disseminate reports without being partial. Same time is not possible because of different modes of communication.
3.C. Suitability	Develop IPS. Understand client's risk profile. Update IPS periodically.
3.D. Performance Presentation	Do not misstate performance. Ensure performance information is fair, accurate and complete.

3.E. Preservation of Confidentiality	Maintain confidentiality of current, former and prospective clients unless: a) law mandates disclosure b) illegal activities by client c) client permits disclosure.
4.A. Loyalty	Avoid front running. Get written consent from employer before starting an independent practice. You cannot take proprietary information, client lists of the previous employer.
4.B. Additional Compensation Arrangements	Do not accept gifts, benefits, or compensation that will create a conflict of interest.
4.C. Responsibilities of Supervisors	Ensure anyone under your supervision complies with applicable laws, rules, regulations, and Code and Standards.
5.A. Diligence and Reasonable Basis	Exercise diligence, independence, and thoroughness in analyzing investments and making recommendations. Be diligent and have a reasonable basis, even when using secondary or third-party research.
5.B. Communication with Clients and Prospective Clients	Disclose to clients the investment process. Identify risks and limitations. Distinguish between fact and opinion.
5.C. Record Retention	Maintain records that support your analysis and research. Code and Standards recommend storing records for at least seven years.
6.A. Disclosure of Conflicts	Make full and fair disclosure of matters that may impair independence and objectivity. Disclosure to be made in plain language. Ex of conflicts: stock ownership, director, cross departmental (IB/research) conflicts.
6.B. Priority of Transactions	Any account from which you benefit makes you the beneficial owner. Personal trading secondary to trading for clients. Establish blackout periods to prevent front running. Limit participation in IPO.
6.C. Referral Fees	Disclose referral fee to clients, prospective clients, and employers.
7.A. Conduct as participants in CFA Institute Programs	Keep questions, exam information confidential. Comply with program restriction. You may express an opinion on the difficulty of exam, curriculum etc.
7.B. Reference to CFA Institute, the CFA designation, and the CFA program	Pay annual dues and fill professional conduct statement to claim membership. References to partial designation not allowed (CFA, Level 1). CFA mark can be used if you've cleared all three levels and fulfilled the membership requirements.

LM04 Introduction to the Global Investment Performance Standards (GIPS)

Version 1.0

Introduction

This reading focuses on:

- Why the GIPS standards were created, who can claim compliance, and who benefits from compliance.
- Key concepts of the GIPS standards – composites, the definition of the firm, and the definition of investment discretion.
- The purposes and benefits of verification.

The 2020 Edition of the GIPS Standards has three chapters:

1. GIPS Standards for Firms
2. GIPS Standards for Asset Owners
3. GIPS Standards for Verifiers

Note: Most of the material presented here is taken from the curriculum.

I. Why Were the GIPS Created?

GIPS standards were created to make it easier to compare different investment management firms. Without a standard, different firms would select the method which would make their performance look better.

> The GIPS standards are a practitioner-driven set of ethical principles that establish a standardized, industry-wide approach for investment firms to follow in calculating and presenting their historical investment results to prospective clients. The GIPS standards ensure fair representation and full disclosure of investment performance. In other words, the GIPS standards lead investment management firms to avoid misrepresentations of performance and to communicate all relevant information that prospective clients should know in order to evaluate past results.

Misleading practices in the absence of GIPS included:

- **Representative accounts**: Showcasing only the top-performing portfolio to represent the firm's overall investment results.
- **Survivorship bias**: Excluding poorly performing portfolios and presenting an average performance history.
- **Varying time periods:** Presenting performance for a selected time-period during which the mandate produced excellent returns.

The objectives of the GIPS standards are:

- To promote investor interests and instill investor confidence.
- To ensure accurate and consistent data.
- To obtain worldwide acceptance of a single standard for calculating and presenting performance.
- To promote fair, global competition among investment firms.
- To promote industry self-regulation on a global basis.

I.I Who Can Claim Compliance?

Any firm that actually manages assets can claim compliance once it has satisfied all requirements of the standards. Firms that compete for business must comply with the GIPS Standards for firms.

Consultants cannot claim compliance unless they actually manage assets for which they are making a claim of compliance. Similarly, software and the vendors supplying the software to investment management firm cannot claim compliance.

Asset owners can make a claim of compliance if they compete for business. If they do not compete for business but report their performance to an oversight body, they may choose to comply with the GIPS standards for asset owners.

How to claim compliance?

Compliance is a firm-wide process that cannot be achieved on a single product or composite. A firm has only two options with regard to compliance with the GIPS standards:

- Fully comply with all requirements of the GIPS standards and claim compliance through the use of the GIPS Compliance Statement; or
- Not comply with all requirements of the GIPS standards and not claim compliance with, or make any reference to, the GIPS standards.

Complying with the GIPS standards is voluntary. It is not typically required by legal or regulatory authorities.

I.II Who Benefits from Compliance?

The GIPS standards benefit:

- asset managers and their prospective clients
- asset owners and their oversight bodies

Following the GIPS standards allows asset managers to assure prospective clients that the historical track record they report is both complete and fairly presented. Compliance enables the GIPS-compliant firm to participate in competitive bids against other compliant firms throughout the world. Achieving and maintaining compliance may also strengthen the firm's internal controls over performance-related processes and procedures.

Investors (prospective clients) have a greater level of confidence in the integrity of performance presentations of a GIPS-compliant firm. Investors can easily compare performance presentations from different investment management firms. Compliance with the GIPS standards does not eliminate the need for due-diligence, but it enhances the credibility of investment management firms that have chosen to undertake this responsibility.

Asset owners provide performance information to their oversight bodies that allows them to make investment decisions and evaluate the performance of the funds under their supervision. If asset owners hire external managers who comply with the GIPS standards, then reporting to the oversight body with the same principles makes it easy to understand the sources of risk and excess return in the funds under supervision.

Instructor's Note: CFA Institute recommends reading the Preface and the Introduction to the Global Investment Performance Standards for Firms, for additional insight into the history, purpose, and key concepts of the GIPS standards. This document can be found at this link – Click here. For your benefit the 'Key concepts' section from this document is presented below.

Key concepts of the GIPS standards that apply to firms

- The GIPS standards are ethical standards for investment performance presentation to ensure fair representation and full disclosure of investment performance.
- Meeting the objectives of fair representation and full disclosure is likely to require more than simply adhering to the minimum requirements of the GIPS standards. Firms should also adhere to the recommendations to achieve best practice in the calculation and presentation of performance.
- Firms must comply with all applicable requirements of the GIPS standards, including any Guidance Statements, interpretations, and Questions & Answers (Q&As) published by CFA Institute and the GIPS standards governing bodies.
- The GIPS standards do not address every aspect of performance measurement and will continue to evolve over time to address additional areas of investment performance.
- The GIPS standards require firms to create and maintain composites for all strategies for which the firm manages segregated accounts or markets to segregated accounts.
- The GIPS standards rely on the integrity of input data, the quality of which is critical to creating accurate performance presentations. The underlying valuations of portfolio holdings drive performance. It is essential for these and other inputs to be accurate. The GIPS standards require firms to adhere to certain calculation methodologies to allow for comparability across firms.

II. Composites

One of the key requirements of the GIPS standards is the use of composites. A composite is an aggregation of one or more portfolios managed according to a similar investment mandate, objective, or strategy. Composites prevent firms from cherry picking only the best performing accounts while reporting performance.

Assume a firm manages portfolios based on one of the following strategies:

- Strategy A: Aggressive growth. Under this strategy the firm selects small-cap stocks with strong growth potential over the next few years.
- Strategy B. Large cap value. Under this strategy large-cap value stocks are selected.

Give this scenario the firm should create a composite for Strategy A, and another composite for Strategy B.

A composite must include all actual, fee-paying, discretionary portfolios managed in accordance with the same investment mandate, objective, or strategy. By "actual" we mean these should be real and not dummy/model portfolios to simulate the returns. Portfolios for which the client does not pay a fee must not be included. For instance, there may be charitable organizations that do not pay a fee for their assets being managed. These should not be included. By "discretionary", we mean the investment management firm has the right to determine and purchase suitable securities for a portfolio. If there is a portfolio where the client determines what securities should be purchased, then it is non-discretionary.

The determination of which portfolios to include in the composite should be done according to pre-established criteria (i.e. on an ex-ante basis), not after the fact. This prevents a firm from including only the best-performing portfolios.

To claim compliance all fee-paying discretionary accounts managed by the firm must be included in at least one composite.

Instructor's Note: For additional details, please read Section 3.A. of the Global Investment Performance Standards for Firms on composites.

III. Fundamentals of Compliance

Several core principles create the foundation for the GIPS standards, including properly defining the firm, providing compliant presentations to all prospective clients, adhering to applicable laws and regulations, and ensuring that information presented is not false or misleading.

Two important issues that a firm must consider when becoming compliant with the GIPS standards are the definition of the firm and the firm's definition of discretion.

Definition of the firm: The definition of the firm is the foundation for firm-wide compliance and creates defined boundaries whereby total firm assets can be determined. The GIPS standards state "The firm should adopt the broadest, most meaningful definition of the firm. The scope of this definition should include all geographical (country, regional, etc.) offices operating under the same brand name, regardless of the actual name of the individual investment management company."

Definition of discretion: The firm's definition of discretion establishes criteria to judge which portfolios must be included in a composite and is based on the firm's ability to implement its investment strategy. If documented client-imposed restrictions interfere with the implementation of the intended strategy to the extent that the portfolio is no longer representative of the strategy, the firm may determine that the portfolio is non-discretionary. Non-discretionary portfolios must not be included in a firm's composites.

Instructor's Note: For additional details on the fundamentals of compliance, please read Section 1 of the 2020 GIPS Standards for firms.

IV. Verification

Firms that claim compliance with the GIPS standards are responsible for their claim of compliance and maintaining that compliance. Once a firm claims compliance with GIPS, they may voluntarily hire an independent third-party to perform verification. Just as GIPS compliance is voluntary, verification is also voluntary.

Verification is a process by which an independent verification firm (verifier) conducts testing of a firm on a firm-wide basis in accordance with the required verification procedures of the GIPS standards. Verification provides assurance on whether the firm's policies and procedures related to composite and pooled fund maintenance, as well as the calculation, presentation, and distribution of performance, have been designed in compliance with the GIPS standards and have been implemented on a firm-wide basis.

Verification is performed with respect to an entire firm. It is not done on composites, or individual departments.

Verification must be performed by an independent third party. A firm cannot perform its own verification.

Third-party verification brings additional credibility to a firm's claim of compliance. To understand why a firm would pay to be verified if it is voluntary, assume there are two firms, A and B. Firm A claims GIPS compliance and firm B claims GIPS compliance with third-party verification from a reputed firm. As an investor, which firm would you be more comfortable with? Obviously firm B, and that gives firm B an advantage over firm A.

Summary

LO: Explain why the GIPS standards were created, what parties the GIPS standards apply to, and who is benefitted by the standards.

The GIPS standards were created to avoid misrepresentation of performance and to make it easier to compare different investment management firms.

Any firm that actually manages assets can claim compliance once it has satisfied all requirements of the standards. Asset owners can make a claim of compliance if they compete for business. If they do not compete for business but report their performance to an oversight body, they may choose to comply with the GIPS standards for asset owners.

The GIPS standards benefit:

- asset managers and their prospective clients
- asset owners and their oversight bodies

LO: Describe the key concepts of the GIPS standards for firms.

Firms that compete for business must comply with the GIPS Standards for firms. Compliance is a firm-wide process that cannot be achieved on a single product or composite. A firm has only two options with regard to compliance with the GIPS standards:

- Fully comply with all requirements of the GIPS standards and claim compliance through the use of the GIPS Compliance Statement; or
- Not comply with all requirements of the GIPS standards and not claim compliance with, or make any reference to, the GIPS standards.

Complying with the GIPS standards is voluntary. It is not typically required by legal or regulatory authorities.

LO: Explain the purpose of composites in performance reporting.

A composite is an aggregation of one or more portfolios managed according to a similar investment mandate, objective, or strategy. Composites prevent firms from cherry picking only the best performing accounts while reporting performance. When used in performance reporting, composites help clients evaluate how well a company has performed with different investment styles.

LO: Describe the fundamentals of compliance, including the recommendations of the GIPS Standards with respect to the definition of the firm and the firm's definition of discretion.

Several core principles create the foundation for the GIPS standards, including properly defining the firm, providing compliant presentations to all prospective clients, adhering to applicable laws and regulations, and ensuring that information presented is not false or misleading.

Definition of the firm: The GIPS standards state "The firm should adopt the broadest, most meaningful definition of the firm. The scope of this definition should include all geographical (country, regional, etc.) offices operating under the same brand name, regardless of the actual name of the individual investment management company."

Definition of discretion: The firm's definition of discretion establishes criteria to judge which portfolios must be included in a composite and is based on the firm's ability to implement its investment strategy.

LO: Describe the concept of independent verification.

Verification is a process by which an independent verification firm (verifier) conducts testing of a firm on a firm-wide basis in accordance with the required verification procedures of the GIPS standards. Verification provides assurance on whether the firm's policies and procedures related to composite and pooled fund maintenance, as well as the calculation, presentation, and distribution of performance, have been designed in compliance with the GIPS standards and have been implemented on a firm-wide basis.

Verification is performed with respect to an entire firm. It is not done on composites, or individual departments.

Verification must be performed by an independent third-party. A firm cannot perform its own verification.

LM05 Ethics Application

Ver: 1.0

Introduction

This reading presents a number of short cases that demonstrate how to apply the Code and Standards in situations where professional and ethical judgement is required. For each case understand the rationale for why or why not a violation of the Code and Standards may have taken place and conduct that would comply with the Code and Standards.

Instructor's Note: We have covered the most important points of each case. We suggest that you also go through the curriculum to get a complete understanding of these cases.

We strongly recommend that you read the question and come up with your answer before reading the solution. To make this easier we have presented the solutions at the end rather than immediately after each question.

I. Professionalism

A. Knowledge of the Law

Members and Candidates must understand and comply with all applicable laws, rules, and regulations (including the CFA Institute Code of Ethics and Standards of Professional Conduct) of any government, regulatory organization, licensing agency, or professional association governing their professional activities. In the event of conflict, Members and Candidates must comply with the more strict law, rule, or regulation. Members and Candidates must not knowingly participate or assist in and must dissociate from any violation of such laws, rules, or regulations.

Mandracken

SBS Bank (SBS) acts as a custody bank for a wide range of clients. It charges its clients an asset-based fee for the services it provides. According to the bank's client agreement, custody clients agree to reimburse the bank for out-of-pocket expenses for items paid by SBS on their behalf. Most of these expenses are for messages sent via SWIFT, a secure messaging network used by banks and other financial institutions.

While SBS charges a fixed rate for SWIFT messages, the rate is higher than the actual cost of providing this service. Mandracken, CFA, a vice president at SBS notices this discrepancy and brings it to the attention of his supervisor. Mandracken's supervisor tells him to reduce the SWIFT fee rate for new clients and to revisit the rate for existing clients when their contracts are renewed.

To meet his obligations under the CFA Institute Code and Standards, Mandracken should:

A. implement the corrective procedures as directed by his supervisor.

B. implement the corrective procedures as directed by his supervisor but report his objections to the bank's board of directors.

C. refuse to participate in any client interactions using the fee schedule until the bank revises the SWIFT rate to reflect the actual cost of the service.

View Solution

Pellie

Pellie, CFA, is CEO of Kwaume Investment Group (KIG), an investment adviser that is a wholly owned subsidiary of Kwaume Bank. A longtime bank customer that Pellie knows personally recently opened an investment account at KIG with a stated investment objective of earning income. Over the next year, the client made a few investments, but a majority of activity in the account involved several hundred bank transactions to and from individuals and entities located in bank secrecy havens and countries identified by the government as at risk for money-laundering activity.

Given the client's longstanding relationship, Pellie assumes the transactions have a legitimate business purpose and accepts vague descriptions, such as "for services provided," "consulting fees," and "commissions. He also approves the daily anti-money-laundering (AML) reports without further inquiry.

Pellie's actions are:

A. a violation of the CFA Institute Code and Standards.

B. appropriate because Pellie is protecting the confidentiality of client information.

C. appropriate because Pellie can rely on the account's clearing firm to report suspicious activity for the account.

View Solution

Mwangi

Mwangi, CFA, works for a firm that sells insurance products. Three of Mwangi's clients purchase one type of product (Class A). But they later change their minds and ask to switch to another, lower priced product (Class B). For this switch to happen, the law requires that her clients sign new sale and purchase documents for the Class B product.

When the Class B documents are ready, Mwangi tries to reach her clients for their signatures but is unable to do so. Because of the missing signatures, Mwangi's manager threatens to cancel the exchange. To prevent this from happening, Mwangi signs the necessary documents on behalf of her clients.

Mwangi's actions are:

A. a violation of the CFA Institute Code and Standards.

B. acceptable because her clients had already given their permission for the exchange to be made.

C. acceptable if the clients gave Mwangi explicit permission to sign the documents on their behalf.

View Solution

B. Independence and Objectivity

Members and Candidates must use reasonable care and judgment to achieve and maintain independence and objectivity in their professional activities. Members and Candidates must not offer, solicit, or accept any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity.

Myers

Myers, CFA, is a partner at Corboba, a hedge fund that focuses on ESG investments. To support upcoming public office elections, Myers wants to personally donate $10,000 to one of the candidates, DeFrietas. Myers is a passionate climate advocate and supports DeFrietas's backing of environmental policies to reduce air pollution and mitigate the effects of climate change.

Myers believes his political contribution may also be beneficial for Corboba because DeFrietas is running for a position that can influence which hedge funds receive investments from the state's pension plans.

Myers's best course of action is to

A. refrain from donating to DeFrietas.

B. donate to DeFrietas because he is using personal funds in an amount that is insignificant relative to the size of the hedge fund.

C. donate to DeFrietas because he will be supporting a candidate whose environmental policies align with his beliefs.

View Solution

C. Misrepresentation

Members and Candidates must not knowingly make any misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.

Lee

Lee, CFA, is a financial planner for AKC. AKC compensates its planners based on the number of AKC products they sell. Lee advises a married couple to transfer their retirement funds totaling $125,000 into a single AKC investment fund that follows a large-cap equity strategy. Lee discloses to the couple that they will have to pay a penalty totaling $30,000 for closing their retirement accounts but claims they will make up the loss with better investment returns from the AKC product.

Lee's actions are:

A. acceptable if the AKC product is suitable for the couple.

B. a violation of the CFA Institute Code and Standards because she is promising a specific rate of return.

C. acceptable because she fully discloses the negative consequences of closing their retirement accounts.

View Solution

Andersen

Andersen, CFA, is the CEO of an asset management firm. He makes an in-person proposal to manage the investments of a large pension plan. In response to a request from the pension plan, Andersen provides a list of the key personnel who would manage the account. While waiting for the outcome of the evaluation, one of the key personnel that Andersen identified and who was part of the team that made the in-person presentation leaves the firm.

Andersen should:

A. do nothing because the pension plan is hiring the firm, not an individual.

B. immediately inform the pension plan that one of the key personnel has left the firm.

C. hire a competent replacement for the person who left and then inform the pension plan of the change.

View Solution

Brodeur

Brodeur, CFA, is CEO of LeTour, a global company that makes electric cars. Recent media reports mention that the company is having difficulty in producing and delivering its cars to buyers. In response to these reports, Brodeur posts on his social media that the company is "considering taking LeTour private at $420 a share. Funding is secure."

Previously, Brodeur had met with a large SWF that expressed interest in investing in the company and taking it private. But they had not reached any agreement or determined a share purchase price.

After the post, LeTour's stock price increased more than 6% and closed at $380 per share. When asked about the specific stock price in the post, Brodeur acknowledged that he had not discussed pricing with any potential investor but chose the price as a joke.

Brodeur's actions are:

A. inappropriate because the post was a misrepresentation of the facts.

B. inappropriate because not all investors use social media, so Brodeur is selectively disclosing information and putting some investors at a disadvantage.

C. appropriate because his post said only that he was "considering" taking the company private and thus contained only speculative, nonmaterial information.

View Solution

D. Misconduct

Members and Candidates must not engage in any professional conduct involving dishonesty, fraud, or deceit or commit any act that reflects adversely on their professional reputation, integrity, or competence.

Hanse

Hanse, CFA, is a portfolio manager employed by a global investment bank. She manages an ESG investment fund. In her free time, Hanse participates in civil disobedience demonstrations to protest climate breakdown, biodiversity loss, and ecological collapse. At several demonstrations held in the financial district, Hanse is arrested on charges of unlawful assembly, obstructing public transit, and disorderly conduct. She is ultimately convicted of several minor criminal offenses. Hanse has signed a standard employment contract with the bank that allows it to terminate any employee who is convicted of a criminal offense.

Under the CFA Institute Code and Standards, Hanse's actions:

A. do not violate the Code and Standards.

B. violate the Code and Standards because she has violated her employment contract with the bank.

C. violate the Code and Standards because she is arrested for misconduct in the financial district.

View Solution

Mang

Mang, CFA, is an investment adviser for a regional bank that serves many high-net-worth individuals. As per the bank's policies if an advisor forgets to send an order to the trading desk, a 30 days error correction period is permitted. To rectify the error, the adviser is allowed to buy or sell a security at the current market price. The price differential is charged to the adviser personally through an internal error account.

Mang frequently uses the trade error correction policy to benefit clients who are unhappy with their account's performance. He identifies a security whose price has increased in the past 30 days and tells the trade desk he mistakenly failed to buy that particular security. Once the request is approved, the trade desk purchases the security and charges the price differential to Mang personally through the error account. Shortly after that trade, Mang sells the security.

Mang's actions:

A. violate the CFA Institute Code and Standards.

B. are appropriate because Mang is acting for the benefit of the client.

C. are appropriate because the bank is not harmed by Mang's actions.

View Solution

II. Integrity of Capital Markets

A. Material Nonpublic Information

Members and Candidates who possess material nonpublic information that could affect the value of an investment must not act or cause others to act on the information.

Khatri

Khatri, a candidate in the CFA Program, plays on a local cricket team. Patel an attorney and Khatri's brother-in-law, and Ahuja, an owner of a software development company called ZeroPower (ZP) also play on the same team. Patel handles the legal work for ZP.

Recently, a large global information technology company (GIT) made an offer to buy ZP at a substantial premium over the company's current share price. Patel is working with lawyers from GIT to assist in their due diligence.

One weekend, between matches, Khatri overhears Patel speaking with representatives of GIT on his cell phone. Although mention of a ZP acquisition is not made, Khatri hears Patel repeatedly reference the name "GIT". Khatri also sees Patel and Ahuja huddled in private conversation several times over the course of the weekend. Based on this he guesses that ZP is being acquired. On Monday, Khatri purchases 5,000 shares of ZP. One week later, ZP announces its acquisition by GIT and its share price increases 30%.

Khatri's actions are:

A. a violation of the CFA Institute Code and Standards.

B. acceptable because Khatri's investment was based on his own speculation.

C. acceptable because Khatri received the information in a public environment.

View Solution

Kwame

Kwame, CFA, is the chief financial officer of PH3D, a biotech firm that researches, develops, and commercializes pharmaceutical drugs. PH3D submits a drug application to the government regulator for a promising new drug.

When the meeting between the regulator and PH3D takes place, PH3D presents unpublished preliminary test data with favorable indicators for the drug. The regulator reacts positively and gives PH3D provisional regulatory approval, contingent on further studies.

Later, some research analysts covering PH3D ask Kwame about the meeting. Kwame responds by email, mentioning that the meeting with the regulator was "very positive and productive" and that the company was "pleasantly surprised" by the regulator's reaction.

Kwame does not share the favorable preliminary test data. After Kwame's emails to the analysts, the company's stock price increases 19%.

Kwame's actions:

A. violate the CFA Institute Code and Standards.

B. are appropriate because he does not share the unpublished preliminary test data with the analysts and restricts his comments to the general tenor of the meeting.

C. are appropriate because he responds to questions from research analysts covering the company.

View Solution

B. Market Manipulation

Members and Candidates must not engage in practices that distort prices or artificially inflate trading volume with the intent to mislead market participants.

Abbha

Abbha, CFA, is a securities contractor. She is helping Superior Energy (SE) list its shares on the Regional Security Exchange (RSX). RSX's current listing rule states that entities seeking admission must meet a "minimum spread requirement" of at least 300 shareholders with a minimum holding value to qualify for listing.

SE already has some shareholders. Abbha arranges an additional 31 shareholders which enables SE to meet the minimum spread requirement of 300 shareholders in its listing application. However, none of the 31 shareholders are actual buyers of SE securities. Abbha provides false names and addresses for these shareholders.

Eventually, the SE listing is successful, and the stock is admitted to the official list of the RSX. Over time, SE's share price steadily increases, the company attracts many new investors and the original early investors get an excellent return on their investment.

Abbha's actions:

A. violate the CFA Institute Code and Standards.

B. are acceptable because SE proved to be a strong company with excellent performance.

C. are acceptable because no investors were harmed by the technical violation of RSX rules.

View Solution

III. Duties to Clients

A. Loyalty, Prudence, and Care

Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests.

Maste

Maste, CFA, is the sole director of Dov Services (Dov), a firm that sells financial products and advice. Maste asks Dov's authorized representatives to incorporate the Dov Client Protection Policy into their contracts with clients.

The protection policy's terms (1) excuse Dov and its authorized representatives from various liabilities arising from their failure to act in a client's best interest, (2) relieve Dov and its authorized representatives of their duty to conduct suitability analyses of clients and investments, and (3) lead clients to believe that they cannot make claims against Dov or its representatives for violating securities law.

Maste's actions:

A. violate the CFA Institute Code and Standards.

B. are appropriate because Dov and Maste fully disclose the terms of the Dov Client Protection Policy to clients.

C. are appropriate because Dov and Maste are free to negotiate the terms of advisory agreements with clients.

View Solution

Gaini

Gaini, CFA, is a commodities trader with a number of retail clients. Laube, opens a self-directed foreign exchange retail account for which Gaini does not advise on any trades. Laube signs Gaini's standard customer agreement which authorizes Gaini, at his discretion, "to liquidate, without notice, any or all open positions in an account with insufficient margin."

Laube initially purchases two currency contracts and sets her margin requirement to $4,000. Laube then places two additional "pending limit" orders that will execute if the contract trading prices reach a specified level. Shortly after placing the orders, Laube goes on an extended vacation. While she is away, execution on the first limit order occurs, and the margin requirement increases to $6,000. Then, the next limit price is reached, and the second order executes, increasing the margin requirement to $8,000. Post trades, while Laube is still on vacation, her account balance drops to $6,900. Without notice, Gaini liquidates all positions in Laube's account, realizing a loss of $37,000 from the liquidation.

Gaini's actions:

A. are appropriate because Gaini followed the policy and procedures set forth in Laube's client agreement.

B. violate the CFA Institute Code and Standards because Gaini has a duty to act in the best interest of Laube by protecting her financial position.

C. are inappropriate because Gaini could have met the margin requirement by liquidating only one foreign exchange contract position.

View Solution

Braung

Braung, CFA is hired as a financial adviser by a regional government entity. Braung helps the entity issue bonds, and in connection with the bond issues, he makes a number of trips to New York City to meet with ratings agencies. The trips are usually planned for a Monday or Friday because the costs for weekend travel are lower. Braung's wife accompanies him on the trips, and they normally spend the weekend in New York City to enjoy sporting events, theater performances, and museums.

Braung also frequently makes a number of train and hotel changes after a trip is booked to accommodate meetings with other clients.

Braung submits his travel expenses to his supervisor, who deducts costs she believes are unrelated to the business purpose of the trip and submits the bills to the municipality for reimbursement.

Which of the following expenses can *most likely* be billed to the government entity issuing the bonds?

A. Braung's accommodation and meal expenses for the weekend days because the travel rates are less expensive over a weekend

B. Tickets to the sporting and theater events, as long as they do not exceed a reasonable amount for business entertainment

C. Flight and hotel change fees that result from the regular course of Braung's business activities

View Solution

B. Fair Dealing

Members and Candidates must deal fairly and objectively with all clients when providing investment analysis, making investment recommendations, taking investment action, or engaging in other professional activities.

Scherzer

Scherzer, CFA, is the head of research at a large investment management firm. She publishes monthly "Recommendation Update Reports" to communicate to clients any investment recommendation changes her firm has made. The reports are sent to clients via email on the first Friday of the month and posted on the firm's website the following Monday. The firm's internal policy is that a change in recommendation can only be made once a month through this report.

Scherzer also publishes weekly reports that may lead a reader to infer that a recommendation will be changing. The monthly "Recommendation Update Reports" are sent to all clients. However, clients who wish to receive the weekly publication must pay an annual fee of $1,000. This option is available to any client and is fully disclosed as part of every client agreement.

To comply with the CFA Institute Code and Standards, Scherzer is required to:

A. do nothing because her actions comply with the Code and Standards.

B. publish the monthly report on the firm's website at the same time it is sent to clients.

C. send the weekly reports to all clients at no additional charge.

View Solution

C. Suitability

1. When Members and Candidates are in an advisory relationship with a client, they must:
    a. Make a reasonable inquiry into a client's or prospective client's investment experience, risk and return objectives, and financial constraints prior to making any investment recommendation or taking investment action and must reassess and update this information regularly.
    b. Determine that an investment is suitable to the client's financial situation and consistent with the client's written objectives, mandates, and constraints before making an investment recommendation or taking investment action.
    c. Judge the suitability of investments in the context of the client's total portfolio.
2. When Members and Candidates are responsible for managing a portfolio to a specific mandate, strategy, or style, they must make only investment recommendations or take only investment actions that are consistent with the stated objectives and constraints of the portfolio.

Marte

Marte, CFA, is an asset manager in Puerto Rico, a US territory. Residents of Puerto Rico receive significant tax advantages when they invest in local securities. To take advantage of the tax laws, Marte's firm offers its clients shares in a closed-end investment fund, organized under Puerto Rico's financial laws and regulations, that holds at least 67% local securities and is permitted to borrow against up to 50% of its assets. The fund is usually leveraged to the extent legally permitted.

Many of Marte's clients have a modest net worth and conservative or moderate investment objectives. Marte persuades them to invest 85% or more of their assets in shares of the closed-end fund.

Marte's actions:

A. violate the CFA Institute Code and Standards.

B. are appropriate because they take advantage of the fund's unique tax benefits for his clients.

C. are appropriate as long as Marte fully discloses the risks and benefits of the fund to his clients.

View Solution

Duri

Duri, CFA, is a registered financial advisor for retail clients. She is also a principal partner of Tabak Accountants. Duri helps many advisory clients switch from existing pension accounts to self-managed superannuation funds (SMSFs) that invest in direct residential property.

When clients express interest in SMSFs, Duri accepts their reasoning and assumes that they have the time and expertise to manage these funds. She also reclassifies their investment objectives as "growth" to match the new investment strategy.

Duri charges her clients for establishing the SMSFs and recommends that her firm, Tabak Accountants, prepare the clients' annual accounts and tax returns.

Duri's actions:

A. violate the CFA Institute Code and Standards.

B. are acceptable because she is following the directives of her clients.

C. are acceptable if the services provided by Tabak Accountants are reasonable and the costs of services are competitive.

View Solution

D. Performance Presentation

When communicating investment performance information, Members and Candidates must make reasonable efforts to ensure that it is fair, accurate, and complete.

Jergenn

Jergenn, CFA, is the portfolio manager for the Volare Investment Management (VIM) fund, a registered collective investment scheme (CIS) organized under the laws of South Africa.

VIM's 2022 regulatory disclosure and marketing material for the fund, produced by Jergenn, presents annual investment performance data for the 2014–2020 period that is accurate and calculated correctly. The performance history is that of a composite of separate accounts that followed the strategy used by the VIM fund before the assets were moved over to the CIS environment in 2021.

In presenting the fund's performance history, Jergenn's actions:

A. violate the CFA Institute Code and Standards.

B. are appropriate because the investment performance is accurate.

C. are appropriate as long as the performance calculations are net of fees.

View Solution

E. Preservation of Confidentiality

Members and Candidates must keep information about current, former, and prospective clients confidential unless:

1. The information concerns illegal activities on the part of the client or prospective client,
2. Disclosure is required by law, or
3. The client or prospective client permits disclosure of the information.

Giddings and Marsh

Giddings, CFA, is a compliance officer at GWH, a large broker/dealer and investment advisor. GWH maintains confidential information of its clients: such as names, addresses, phone numbers, account numbers, balances, and holdings. Giddings puts a number of policies and restrictions in place to address employee's access to and handling of this confidential information.

Marsh, CFA works at GWH as a client services associate. He downloads client data to his personal server at his home to enable telecommuting. Marsh's server is hacked, and portions of the personal client information Marsh downloaded are posted for sale on the internet.

Did either Marsh or Giddings violate the CFA Institute Code and Standards?

A. Marsh violated the Code and Standards.

B. Giddings violated the Code and Standards.

C. Both Marsh and Giddings violated the Code and Standards.

View Solution

IV. Duties to Employers

A. Loyalty

In matters related to their employment, Members and Candidates must act for the benefit of their employer and not deprive their employer of the advantage of their skills and abilities, divulge confidential information, or otherwise cause harm to their employer.

Nickoli

Nickoli, CFA, is an investment counselor with HHI Capital Management (HHI). A colleague at her local society encourages Nickoli to leave HHI and join her at Vesuvius Asset Advisers. Nickoli eventually agrees and decides to leave at the beginning of the new year.

In the weeks before submitting her resignation, she informs her clients that they will likely be working with a new investment counselor because she is leaving HHI. Her clients express surprise, and when asked for details about why she is leaving, Nickoli shares that she is frustrated by the firm's structure, disagrees with the direction the firm is going, lacks confidence in the current leadership, doubts the firm will be able to attract and retain good people, and believes other HHI employees have been mistreated and will also be leaving soon.

Several of Nickoli's HHI clients indicate that they would like information about Vesuvius and might be interested in switching their accounts. After submitting her resignation, Nickoli immediately shares the names of the interested clients with Vesuvius, and after the first of the year, she begins soliciting them to transfer their accounts from HHI to her new firm.

Nickoli's conduct is:

A. a violation of the Code and Standards.

B. acceptable because she did not solicit clients until after she left HHI.

C. acceptable because she is looking out for her clients' best interests and believes Vesuvius provides better service.

View Solution

Kuznetsov

Kuznetsov, CFA, is a portfolio manager at an investment firm. Kuznetsov's firm encourages its employees to sell proprietary investment products to their clients. Kuznetsov starts selling these products and within a year, he becomes the firm's top seller. He also receives a large bonus for his performance.

Later, however, Kuznetsov realizes that the firm's investment products are underperforming, and are more expensive than other external investment options that are suitable for his clients. He therefore stops selling the firm's products.

Kuznetsov's supervisor puts pressure on him to resume selling, but Kuznetsov refuses. He complains several times to the management that he is being pressured. He also secretly records several conversations with his supervisor and makes copies of client records that document what he considers inappropriate conduct by his supervisor. When management ignores his complaints and his supervisor starts giving him poor performance reviews, he files a complaint with the local regulator against his supervisor and his firm, providing the recordings and copies of client files as evidence. He is eventually fired from the firm.

Kuznetsov's actions are:

A. appropriate because he is protecting his clients' interests.

B. a violation of the CFA Institute Code and Standards because he fails to keep client information confidential.

C. a violation of the CFA Institute Code and Standards because he violates his duty of loyalty to his employer by taking his dispute with his supervisor to the regulator and exposing the employer to financial and reputational harm.

View Solution

Clemence

Clemence, CFA, is a wealth management adviser for DeLaurier Strategic Advisers. She looks after the financial planning and wealth management for many retail clients. She met many of her clients through her spouse and sister.

Clemence has decided to leave DeLaurier and join another firm. In her new role, she will take on more research and investment management responsibilities. She will not be expected to generate new advisory clients.

Clemence leaves DeLaurier on good terms. On her final day, she downloads a spreadsheet of DeLaurier's clients, prospects, and former clients and sends it to her personal email. The list includes names, assets under management, addresses, and phone numbers. Clemence plans to contact her clients as a courtesy to inform them of her new position, thank them for being clients, and express her confidence that DeLaurier will continue to provide them with competent and professional service even though she has left the firm.

Clemence's actions are:

A. a violation of the CFA Institute Code and Standards.

B. appropriate because she is protecting the interests of her clients.

C. appropriate as long as she contacts only those clients who are personal friends to inform them of her new position.

View Solution

B. Additional Compensation Arrangements

Members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they obtain written consent from all parties involved.

Estevez

Estevez, CFA, is a senior research analyst with BIR, a boutique investment research firm covering micro- and small-cap companies. BIR engages in issuer-paid research whereby companies hire BIR to provide research to promote their stock to investors.

Estevez helps BIR select which companies to cover and also oversees a team of junior research analysts. Some companies offer Estevez a separate bonus if she selects them for coverage.

Estevez's actions are:

A. a violation of the CFA Institute Code and Standards because her independence and objectivity in conducting the research are compromised.

B. acceptable as long as Estevez does not use material nonpublic information from the company.

C. acceptable as long as her company approves in writing the payments offered by covered companies.

View Solution

C. Responsibilities of Supervisors

Members and Candidates must make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards.

Duhih

RC Group (RCG) is a registered futures commission merchant with several branch offices. Duhih, CFA is hired to be the branch manager at one of RCG's offices in Memphis, Tennessee (USA). Duhih supervises many employees including Lewes, CFA. Duhih allows Lewes to work from home and seldom checks in with Lewes regarding work.

Unknown to either Duhih or RCG, Lewes also works for another futures commission merchant, called AFCM. Working with another employee at RCG, Lewes arranges swap agreements for AFCM through RCG. The other RCG employee receives all the commissions for the accounts, but she secretly splits them with Lewes. Duhih is not aware of Lewes' involvement in this commission sharing arrangement.

Duhih's actions as a supervisor are:

A. a violation of the CFA Institute Code and Standards.

B. acceptable if the RCG headquarters conducts regular audits of the Memphis branch.

C. acceptable if RCG did not develop adequate policies and procedures for the detection and deterrence of possible employee misconduct.

View Solution

Denikin & Denikin

Sasha Denikin, CFA, began his investment career as a research analyst for Galak Investment Partners. Galak was founded and is controlled by Sasha's father, Franz Denikin, CFA. After a few years, Sasha becomes a director of the company and Franz transfers ownership of Galak to him. Franz tells the firm's clients that he retains management of all client accounts

When the longtime chief compliance officer (CCO) of Galak retires, Sasha is also promoted to CCO. Sasha has no previous compliance experience. The prior CCO will retain compliance responsibilities as a consultant and mentor and train Sasha.

In spite of his designation, Sasha has no real authority to supervise his father's conduct and Franz continues to exert absolute control over Galak. Sasha raises multiple compliance issues to his father regarding his father's actions, but Sasha is powerless to enforce company policies and procedures concerning his father's conduct. After continuing to serve as Galak CCO for some time, Sasha finally resigns in frustration.

Sasha Denikin's actions are:

A. a violation of the CFA Institute Code and Standards.

B. acceptable because Franz holds the actual power and client responsibilities at the firm and thus cannot be under the supervision of a subordinate.

C. acceptable because Sasha resigns as CCO when he is frustrated by his inability to exercise his compliance responsibilities.

View Solution

V. Investment Analysis, Recommendations, and Actions

A. Diligence and Reasonable Basis

Members and Candidates must:

1. Exercise diligence, independence, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions.
2. Have a reasonable and adequate basis, supported by appropriate research and investigation, for any investment analysis, recommendation, or action.

Harrel and Chong

Corix Bioscience is a startup company in the manufacturing and distribution of cannabidiol (CBD) products. Corix hires Harrel, an independent research analyst and CFA Program candidate, to write a research report on the company.

Corix's CEO tells Harrel the following:

- Corix has an agreement with indigenous tribes that allows it to access tribal lands for commercial hemp and cannabis farming and to sell hemp and cannabis products in retail outlets on tribal lands.
- Corix has a certificate of compliance from the national regulator that permits the company to transport, process, and export industrial hemp products.
- The prior year's harvest of hemp exceeded expectations in both quality and quantity, resulting in a substantial inventory of product.

Harrel includes all this information and writes a positive research report on Corix. However, the information provided by the CEO is fake.

Chong, a CFA charterholder and research analyst at Nature's Harvest Investment Management (NHIM), incorporates the information from Harrel's research report into his own research on Corix and puts a "buy" recommendation on the company. Chong's report is distributed to portfolio managers at NHIM. Corix is eventually shown to be a phony operation and NHIM's clients suffer significant losses.

Which individual(s) *most likely* violated the CFA Institute Code and Standards?

A. Harrel only

B. Chong only

C. Both Harrel and Chong

View Solution

B. Communication with Clients and Prospective Clients

Members and Candidates must:

1. Disclose to clients and prospective clients the basic format and general principles of the investment processes they use to analyze investments, select securities, and construct portfolios and must promptly disclose any changes that might materially affect those processes.
2. Disclose to clients and prospective clients significant limitations and risks associated with the investment process.
3. Use reasonable judgment in identifying which factors are important to their investment analyses, recommendations, or actions and include those factors in communications with clients and prospective clients.
4. Distinguish between fact and opinion in the presentation of investment analysis and recommendations.

Maalouf

Maalouf, CFA, works for a large wealth management firm. The firm's fees are calculated as a percentage of the asset value managed for each client account. The firm has a standard method for valuing assets and calculating fees, which is disclosed to clients when they open their account.

Over time, the firm shifts to (1) using the market value of client assets at the end of the billing cycle instead of the average daily balance of the account; (2) including assets that were previously excluded, such as cash or cash equivalents, in the fee calculation; and (3) charging clients for a full billing period rather than prorating fees for clients that start or terminate accounts mid-billing period.

Under the CFA Institute Code and Standards, Maalouf

A. must notify clients of the changes in the valuation and fee calculation method.

B. cannot use end-of-cycle valuations, include cash equivalents, or charge fees for a full billing cycle for partial cycle accounts.

C. can change the valuation and fee calculation methodology as long as actual fees charged to clients are lower.

View Solution

Dukis

Dukis, CFA, is a managing director at a global credit ratings service. Her team assigns new issue and surveillance credit ratings to commercial mortgage-backed securities (CMBSs). They use the debt service coverage ratio (DSCR) to determine ratings.

After the global financial crisis, the ratings agency changes its methodology for calculating DSCR so that it more accurately reflects risk. However, subsequent credit ratings are published without disclosing this change.

Dukis's actions are:

A. appropriate because the new methodology more accurately reflects risk.

B. a violation of the CFA Institute Code and Standards because she did not disclose the change in methodology to the investing public.

C. appropriate because no disclosure is necessary, given that calculating DSCR is only one element in determining the overall rating of the security.

View Solution

C. Record Retention

Members and Candidates must develop and maintain appropriate records to support their investment analyses, recommendations, actions, and other investment-related communications with clients and prospective clients.

Duermott

Duermott, CFA, is president of Enhanced Investment Strategies (EIS), a small investment firm. Duermott has close personal relationship with his clients and is very familiar with their investment profile, income and retirement requirements, and risk tolerance. He keeps up with all his clients' life-changing events—such as health issues, real estate purchases, children's university expenses, and retirement—and adjusts the clients' portfolios accordingly.

Duermott frequently meets with his clients at EIS's offices, and he also sees them on several occasions outside the office, which give him additional opportunities to update them on their investments. EIS clients complete a client agreement and risk profile when opening their account, and those profiles are updated whenever Duermott finds the time to do so.

Duermott's business practices are:

A. a violation of the CFA Institute Code and Standards.

B. acceptable because he regularly communicates with clients about their investments.

C. acceptable because he adjusts clients' investments to ensure that they are suitable for the clients' needs given their changing income and risk profile.

View Solution

VI. Conflicts of Interest

A. Disclosure of Conflicts

Members and Candidates must make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. Members and Candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively.

Reebh

Reebh, CFA, is the CEO and founding partner of Lux Asset Management (Lux). Lux provides asset management and allocation services. The services include investing client funds with third-party subadvisers who specialize in a particular asset class.

Reebh's clients are aware, and approve, of Lux's allocation of their assets to subadvisers. The third-party subadvisers make payments to Lux based on the total value of a client's assets placed in the subadvisers' funds.

Reebh's actions are:

A. appropriate because Reebh has disclosed the use of subadvisers.

B. inappropriate because the payments are an improper referral fee.

C. inappropriate unless Reebh discloses the financial arrangement he has with the subadvisers to his clients.

View Solution

B. Priority of Transactions

Investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner.

Yang

Yang, CFA, is a research analyst at Dacco, a registered broker/dealer and investment adviser. While working at Dacco, Yang starts Prestige Trade Investments Limited (Prestige) and acts as investment adviser for the firm's clients. Yang is responsible for directing all trades on behalf of Prestige.

Over several days, Yang purchases 50,000 shares of Zhongpin stock and 1,978 Zhongpin call options for his personal account at Dacco. Soon after, Yang purchases more than 3 million shares of Zhongpin stock using $29.8 million of Prestige's funds.

Yang's actions are:

A. a violation of the CFA Institute Code and Standards.

B. acceptable because Yang's personal investments are not in conflict with the investment advice being given to his clients at Prestige.

C. acceptable as long as Prestige clients are not negatively affected by Yang's prior purchase of Zhongpin securities through his account at Dacco.

View Solution

Kapadia

Kapadia, CFA, is a trader for an asset management company that manages several large global mutual funds. Kapadia executes trade orders for one of the company's mutual funds. He has the discretion to execute the orders at any time during the day, depending on market conditions.

Before executing the orders, Kapadia contacts several close friends and relatives and gives them information on which securities the mutual fund will be trading. In turn, these friends and relatives make trades that mirror the trades to be executed by Kapadia on behalf of the mutual fund.

Kapadia's actions are:

A. a violation of the CFA Institute Code and Standards.

B. inappropriate only if the client is harmed financially by the conduct.

C. appropriate because he does not share confidential information about individual clients.

View Solution

Perrkins

Perrkins, CFA, is the chief investment officer of GT Financial (GTF). Perrkins's wife is GTF's compliance officer. GTF has several dozen retail clients and total assets under management of $70 million. All client assets are managed on a discretionary basis.

Perrkins frequently buys and sells securities in a block trade on behalf of multiple clients simultaneously. He allocates the trades to individual client accounts after the market closes. Over one six-month period, Perrkins allocates 75% of the profitable trades to nine accounts that Perrkins and his wife own or control. At the same time, he allocates 82% of the unprofitable trades to the account of the three largest GTF clients.

Perrkins's actions are:

A. a violation of the CFA Institute Code and Standards.

B. acceptable as long as he discloses the trade allocation practices to his clients.

C. acceptable as long as he reverses his trade allocation practices to favor the larger clients so that they are not harmed over the long term.

View Solution

C. Referral Fees

Members and Candidates must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services.

Kiang

Kiang, CFA, is a successful investment adviser with several high-net-worth clients. Kiang has acquired many clients through referrals by existing clients.

Each year, Kiang hosts an elaborate party for clients who have referred new clients to his advisory firm. At the party, Kiang distributes nominal gift cards to attendees. In some cases, Kiang offers discounts on advisory fees to clients who sent him referrals that were very profitable.

Many of the clients attending these parties were referred to Kiang by other clients, and they, in turn, continue the cycle of recommending Kiang to a broader circle of friends and family.

Kiang's actions *most likely* are:

A. acceptable as a reward for client loyalty.

B. acceptable because he treats all clients fairly.

C. a violation of the CFA Institute Code and Standards.

View Solution

VII. Responsibilities as a CFA Institute Member or CFA Candidate

A. Conduct as Participants in CFA Institute Programs

Members and Candidates must not engage in any conduct that compromises the reputation or integrity of CFA Institute or the CFA designation or the integrity, validity, or security of the CFA Institute programs.

Taveras

Taveras, CFA, conducts an exam preparation course sponsored by his local society. The society hosts an event for the students after the exam is over. During the event, many students describe their experience of taking the exam. Most express their views on the relative difficulty of the exam compared to their expectations. Some describe their surprise about areas of the curriculum that were not tested. Taveras asks his students for their thoughts on the most difficult exam questions.

Under the CFA Institute Code and Standards, Taveras is *most likely*:

A. prohibited from discussing the exam with students after it is over.

B. free to pass along information about the exam to candidates in future prep courses to help prepare them for the exam.

C. allowed to share the opinions of his students about the difficulty of the exam with candidates in future prep courses to emphasize the need to thoroughly prepare.

View Solution

B. Reference to CFA Institute, the CFA Designation, and the CFA Program

When referring to CFA Institute, CFA Institute membership, the CFA designation, or candidacy in the CFA Program, Members and Candidates must not misrepresent or exaggerate the meaning or implications of membership in CFA Institute, holding the CFA designation, or candidacy in the CFA program.

Ahmed

Ahmed recently received his CFA designation and joined a medium-sized hedge fund as a senior analyst. His supervisor, Bennett, the firm's founder, earned her CFA designation 10 years ago. She proudly uses the CFA designation on her business card and on all marketing materials for the fund.

Bennett tells Ahmed that she has not paid her CFA Institute membership dues for the past four years and no longer participates in the organization's continuing education program. When Ahmed asks Bennett about her use of the designation, she states that by passing the CFA exam she earned the CFA charter, and that the credential is like a university degree that cannot be taken away.

Later, during a marketing meeting with a potential investor, the investor mentions that he narrowed his search to only firms that employ CFA charterholders in senior positions. When he asks Bennett if everyone in the firm on the investment side is a CFA charterholder, she responds, "Yes, that is correct." Ahmed does not respond.

Did either Ahmed or Bennett violate the CFA Institute Code and Standards?

A. Ahmed violated the Code and Standards, but Bennett did not.

B. Bennett violated the Code and Standards, but Ahmed did not.

C. Both Ahmed and Bennett violated the Code and Standards.

View Solution

Solutions

Mandracken

C is correct. According to Standard I(A), CFA Institute members and candidates must not knowingly participate in legal or ethical violations and should dissociate from such activity. SBS is misrepresenting its reimbursable expenses to its custody clients and overcharging them.

Mandracken' supervisor's corrective measures are inadequate because they (1) address the issue only for new clients, (2) do not immediately address the issue for existing clients, and (3) do not address the misrepresentation and overcharges to past clients.

Mandracken must thus refuse to participate in any client interactions that use the fee schedule until the bank revises the SWIFT fees charged to custody clients to reflect actual out-of-pocket costs. Therefore, A and B are incorrect.

Back to Notes.

Pellie

A is correct. The low number of investments and high volume of other transactions do not match the investment account's stated objective of earning income. The transactions look suspicious and should have been scrutinized by Pellie for possible money-laundering activity.

B is incorrect. Protecting the confidentiality of client information cannot be used as a justification to allow clients to violate the law.

C is incorrect. It is Pellie's responsibility to review the transactions for suspicious activity, he cannot rely on the account's clearing firm for this.

Back to Notes.

Mwangi

A is correct. By signing the documents on behalf of the clients, Mwangi forged their signatures which is a violation of the law and Standard I(A). Permission from the client is irrelevant, Mwangi is still not permitted to forge signatures and break the law.

Back to Notes.

Myers

A is correct. According to Standard I(B), members and candidates must not offer any gift, benefit, compensation, or consideration that could compromise another's independence and objectivity. Although Myers has a genuine reason for donating to DeFrietas, the facts clearly indicate that he believes the donation might also influence DeFrietas to choose Corboba to manage money for the state's pension plans.

B is incorrect. The source of funds does not matter.

C is incorrect. To avoid potential conflict, Myres should not donate to DeFrietas campaign and should instead find other ways to support the environmental protection policies.

Back to Notes.

Lee

B is correct. Standard I(C) prohibits members and candidates from making any statements that promise or guarantee a specific rate of return on volatile investments. Since equity based investments are volatile, Lee's promise of making up for the penalty violates Standard I(C).

Back to Notes.

Andersen

B is correct. Standard I(C) prohibits members and candidates from knowingly misrepresenting anything related to their professional activities. Since the pension plan specifically asked for a list of individuals who would be handling the account, this information is clearly important to them. Withholding the information about the person leaving would be a misrepresentation by omission. Hence A is incorrect.

Waiting to inform until a replacement is found is too late. Hence C is incorrect.

Back to Notes.

Brodeur

A is correct. Brodeur's post was based on assumptions. It violated Standard I(C) which states that members and candidates must not knowingly make any misrepresentation related to professional or investment activities.

Back to Notes.

Hanse

A is correct. Acts of civil disobedience by Hanse reflect her personal beliefs. They do not reflect adversely on her professional reputation, integrity, or competence. Therefore, these actions do not violate the Code and Standards.

Back to Notes.

Mang

A is correct. Mang is engaging in a misleading, fraudulent and deceptive practice.

B and C are incorrect. The fact that this practice benefits the client and does not harm the bank does not make the conduct any less deceptive, fraudulent, or misleading.

[Back to Notes.]

Khatri

A is correct. Khatri comes into possession of material nonpublic information and acts on it which violates Standard II (A).

B is incorrect. Although Khatri was required to make some speculation, the information was confidential, nonpublic and material. His actions did not meet the mosaic theory.

C is incorrect. Although Khatri received the information in a public environment, it does not automatically mean that the information was public.

[Back to Notes.]

Kwame

A is correct. Kwame violated Standard II (A) by selectively disclosing material nonpublic information.

B is incorrect. In this case both the preliminary test data and regulator's positive reaction are material nonpublic information.

C is incorrect. Disclosing information to a select group of analysts covering the company does not mean that the information was publicly disclosed. The fact that Kwame is only responding to questions is irrelevant.

[Back to Notes.]

Abbha

A is correct. Abbha has engaged in information-based manipulation and has violated Standard II (B).

B and C are incorrect. The fact that SE's stock eventually delivered excellent performance and that no investors were harmed does not mitigate Abbha's unethical conduct.

[Back to Notes.]

Maste

A is correct. The terms set in the client protection policy are in violation of the Code and Standards. Disclosures cannot be used to relieve advisers of their fundamental ethical obligations to clients.

[Back to Notes.]

Gaini

A is correct. Although Laube suffered significant trading losses, Gaini's actions were in accordance with the policy and procedures set forth in Laube's client agreement. Standard

III (A) was not violated.

Back to Notes.

Braung

A is correct. The travel fees saved by booking a weekend travel schedule could be greater than the additional accommodation and meal expenses for Braung to stay the extra days. Thus, the overall cost to the client could be lower and Braung would be meeting his duty of loyalty to the client by choosing the most inexpensive travel schedule.

B and C are incorrect. Charging personal theater and sporting event tickets or travel change fees associated with seeing unrelated clients should not be billed to the government entity issuing the bonds.

Back to Notes.

Scherzer

A is correct. Scherzer does not violate the Code and Standards by providing weekly reports to clients who pay a subscription fee for the service as long as (1) all clients are eligible to purchase the service, (2) the different levels of service are disclosed to clients, and (3) no change in recommendations is made that would disadvantage existing clients who receive only the monthly report.

Back to Notes.

Marte

A is correct. Given the fact that many of Marte's clients have a modest net worth and conservative or moderate investment objectives, the high allocation to this fund and use of leverage makes this investment unsuitable.

B is incorrect. Given the favorable tax advantages some allocation to this fund may be beneficial. However, the recommended '85% or more' allocation is unsuitable.

C is incorrect. Disclosures do not take away the need for the investments to be suitable to the client.

Back to Notes.

Duri

A is correct. Duri should perform a suitability analysis before accepting her client's request to switch their retirement assets into an SMSF.

Back to Notes.

Jergenn

A is correct. Jergenn's should clearly disclose that the 2014-2020 performance history was for a similar entity with the same investment strategy and objectives; and that the VIM fund, as a CIS, has been in existence since only 2021. Failing to do so can mislead investors into believing that the CIS fund had a long track record.

Back to Notes.

Giddings and Marsh

C is correct. Standard III(E) requires that members and candidates must make reasonable efforts to prevent the accidental distribution of confidential information.

Marsh did not have permission to download client data to his personal server.

Polices put in place by Giddings to safeguard client data were insufficient because Marsh was able to download company files to his personal computer. Hence both Marsh and Giddings violated Standard III(E).

Back to Notes.

Nickoli

A is correct. Nickoli violates her duty of loyalty to HHI by making harmful statements about the firm to its clients before she submits her resignation and by promoting Vesuvius to HHI clients while she is still employed by HHI.

Back to Notes.

Kuznetsov

A is correct. Kuznetsov is acting in the best interest of clients by notifying the regulators of his employer's unethical practices.

Back to Notes.

Clemence

A is correct. Clemence has violated Standard IV(A) by downloading the client list and taking it with her for use after she leaves DeLaurier. The client list is DeLaurier's property.

Instead of downloading this information, she could have asked her employer's permission to send a "thank you" note to her clients before leaving.

Back to Notes.

Estevez

C is correct. Standard IV(B) requires members and candidates to obtain written consent from their employer before they accept any gift, benefit, or compensation that "might reasonably be expected to create a conflict of interest with their employer's interest."

[Back to Notes.]

Duhih

A is correct. According to Standard IV(C), supervisors must make reasonable efforts to detect and prevent legal, regulatory, and policy violations by ensuring that effective compliance systems have been established. As per the facts presented in the case Duhih's supervision is inadequate.

[Back to Notes.]

Denikin & Denikin

A is correct. Sasha should have refused to accept the supervisory responsibility until he was fully trained and Galak adopted reasonable procedures to allow him to effectively exercise his supervisory responsibility.

[Back to Notes.]

Harrel and Chong

C is correct. Harrel simply relied on statements given by Corix. He did not conduct an independent investigation into the accuracy of the information.

Similarly, Chong simply relied on Harrel's research and did not conduct his own independent research.

Thus, both Harrel and Chong failed to exercise diligence and thoroughness in analyzing the company.

[Back to Notes.]

Maalouf

A is correct. Maalouf must notify his clients ahead of the changes.

[Back to Notes.]

Dukis

B is correct. Dukis should have disclosed to investors the change in methodology for calculating the DSCR.

[Back to Notes.]

Duermott

A is correct. Although Duermott is reviewing and adjusting client portfolios on a timely basis to meet clients' changing financial circumstances, he is not keeping regular, up-to-date client records. He updates client records only when he "finds the time to do so".

Back to Notes.

Reebh

C is correct. The financial arrangement that Lux has with its subadvisor creates a conflict of interest. To mitigate this conflict, Reebh must disclose this arrangement to clients.

Back to Notes.

Yang

A is correct. Yang is "front-running" his Prestige clients' trades which is a violation of the Code and Standards.

Back to Notes.

Kapadia

A is correct. Kapadia is facilitating front-running which is a violation of the Code and Standards.

Back to Notes.

Perrkins

A is correct. Perrkin's is allocating winning trades to his personal accounts and allocating losing trades to client accounts that are large enough to absorb losses without raising suspicion. This practice is clearly a violation of the Code and Standards.

Back to Notes.

Kiang

C is correct. Kiang should disclose the referral fees to potential clients.

Back to Notes.

Taveras

C is correct. Sharing general opinions of previous students who found the CFA exam more difficult than expected is acceptable. However, information regarding the specifics of the exam should not be solicitated or shared.

Back to Notes.

Ahmed

C is correct. Bennett's membership has lapsed because she has not been paying dues to CFA Institute. Until she reactivates her membership, Bennett should not use the CFA designation.

By staying silent, Ahmed can be seen as having assisted Bennett in providing false information to the potential investor. Thus, both Ahmed and Bennett have violated the Code and Standards.

Back to Notes.

